

ASIA ASSET FINANCE PLC
COLOMBO 03

FINANCIAL STATEMENTS FOR THE
YEAR ENDED 31ST MARCH, 2018



Tel : +94-11-2421878-79-70
+94-11-2387002-03
Fax : +94-11-2336064
E-mail : bdopartners@bdo.lk
Website : www.bdo.lk

Chartered Accountants
Charter House
65/2, Sir Chittampalam A Gardiner Mawatha
Colombo 02
Sri Lanka

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ASIA ASSET FINANCE PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Asia Asset Finance PLC (the "Company"), which comprise the statement of financial position as at 31st March 2018, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 05 to 52.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31st March 2018, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter

Impairment of loans and receivables

The assessment of impairment of loans and receivables requires significant judgement by the Company and may have a significant impact on the financial statements. Given the subjectivity and reliance on estimates and judgements inherent in the determination of the provision for impairment, we determined this to be a matter of most significance to our audit.

In determining the required impairment provision on loans and receivables, the Company calculates the impairment allowances on individual and collective basis.

For all loans that are considered individually significant, the Company assesses on a case-by-case basis at each reporting date whether there is any objective evidence that a loan is impaired. In identifying loans and advances to be considered for individual impairment, the Company considers known cash flow difficulties experienced by the borrower; number of instalments overdue; breaches of debt covenants; the probability that the borrower will enter bankruptcy or other financial realization; and a significant downgrading in credit rating by an external credit rating agency. In assessing the quantum of impairment to be provided, the Company takes into consideration; company's aggregate exposure to the customer; the amount and timing of expected receipts and recoveries; valuation of the securities held as collateral and the time estimated to realize the value of such securities.

BDO Partners, a Sri Lankan Partnership, is a member of BDO International Limited, a UK company limited by guarantee, and forms part of the international BDO network of independent member firms.

Partners : Sujeewa Rajapakse FCA, FCMA, MBA. H.Sasanka Rathnaweera FCA, ACMA. Ashane J.W. Jayasekara FCA, FCMA (UK), MBA.
Hasanthi D.Amarakoon ACA, ACMA. R. Vasanthakumar Bsc (Acc), ACA



Loans and receivables that have been assessed individually and found to be not impaired and all individually insignificant loans and receivables are assessed collectively, in groups of assets with similar characteristics, to determine whether provision should be made based on incurred loss events. Loans are grouped into ranges according to the number of days in arrears and statistical analysis is used to estimate the likelihood that loans in each range will progress through the various stages of delinquency, and ultimately prove irrecoverable.

The disclosures associated with impairment of loans and receivables are set out in the financial statements in the following notes:

- Note 16.1 - Impairment allowance for loans and advances to customers
- Note 17.3 - Allowance for impairment losses: Lease rentals receivable and Hire purchase
- Note 41.2 - Credit risk

How our audit addressed the key audit matter

Our audit of accounting for the credit risk related to outstanding customer loans and receivables included the following procedures:

For loans and receivables where impairment was individually calculated, we tested controls over the timely identification of potentially impaired loans.

We also tested a sample of loans and receivables to ascertain whether the loss event (that is the point at which impairment is recognized) had been identified in a timely manner.

For a sample of loans and advances, we checked the valuation of securities to support the calculation of the impairment by comparing estimates to external evidence available, checked mathematical calculations and tested the time estimated to realize the value of securities based on past experience.

We tested controls over impairment data and calculations. These controls included those over the identification of loans and advances that were impaired, the transfer of data (credit systems to impairment models and model output to the general ledger) and the calculation of the impairment provisions.

We performed testing on the models used to calculate the collective impairment. This testing varied by portfolio, but typically included some combination of re-performance of the calculation, testing the extraction of data used in the models including the analysis of loans into groupings displaying the same delinquency characteristics, and testing the underlying critical assumptions.

Other Information

Management is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the financial statements and the auditor's report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.



Responsibilities of the Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines, is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3890.

BDO Partner

CHARTERED ACCOUNTANTS

Colombo

25th June, 2018

VR/dm

ASIA ASSET FINANCE PLC
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31ST MARCH, 2018

Page 1

	Note	2017/2018 Rs.	2016/2017 (Reclassified) Rs.
Interest income	5	2,443,389,400	2,020,556,957
Less: Interest expenses	6	(1,233,214,297)	(919,297,655)
Net interest income		1,210,175,103	1,101,259,302
Net trading gain/(loss) on held for trading securities		(31,406)	2,326,220
Other operating income	7	129,007,575	107,724,399
Less: Operating expenses			
Personnel expenses		(264,465,472)	(250,113,858)
Provision for staff retirement benefits		(5,754,935)	(4,906,571)
General and administration expenses		(449,633,183)	(355,223,573)
Impairment charge for lease rentals receivable, hire purchase, loans and advances	8	(333,396,606)	(227,348,081)
Operating profit before value added tax on financial services		285,901,076	373,717,838
Value added tax on financial services		(63,761,107)	(57,841,421)
Operating profit before income tax	9	222,139,969	315,876,417
Income tax expenses	10	(43,914,542)	(37,827,608)
Profit for the year		178,225,427	278,048,809
Other comprehensive income not to be re-classified to profit or loss in subsequent periods (net of tax)			
Actuarial gain/(loss) on retirement benefit liability		3,554,897	(2,100,296)
Deferred tax effect on components of other comprehensive income	10	(995,371)	(588,083)
Other comprehensive income for the year net of tax		2,559,526	(2,688,379)
Total comprehensive income for the year		180,784,953	275,360,430
Earnings per share - basic	32	0.21	0.33

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 52 form an integral part of these financial statements.

Colombo
25th June, 2018



ASIA ASSET FINANCE PLC
STATEMENT OF FINANCIAL POSITION
AS AT 31ST MARCH, 2018

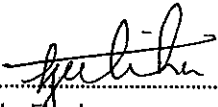
Page 2

	Note	31.03.2018 Rs.	31.03.2017 Rs.
ASSETS			
Cash and cash equivalents	12	660,159,119	601,891,827
Investment in reverse repurchase agreements against the treasury bills and bonds	13	622,975,267	433,333,648
Other financial assets	14	207,244,747	-
Financial assets - held for trading	15	213,734	50,204,691
Loans and advances	16	7,247,899,368	6,838,366,400
Lease rentals receivable and hire purchase	17	2,280,489,222	1,424,679,822
Vehicle stock		262,088	-
Other assets	18	15,587,389	15,626,098
Income Tax Receivable	26	362,927	-
Advances, deposits and prepayments	19	67,948,443	64,760,286
Financial assets - available for sale	20	506,659	506,659
Property, plant and equipment	21	150,037,783	161,931,102
Investment property	22	352,385,530	306,253,164
Deferred tax assets		112,814,714	118,202,709
Intangible assets	23	8,807,431	11,179,033
Total assets		11,727,694,421	10,026,935,439
LIABILITIES			
Due to banks	24	454,920,306	36,031,902
Other liabilities	25	36,650,813	46,791,280
Current tax liabilities	26	-	30,749,073
Other borrowed funds	27	3,001,078,792	2,476,518,223
Due to customers	28	6,356,067,246	5,681,178,140
Retirement benefit obligation	29	20,044,993	18,774,955
Total liabilities		9,868,762,150	8,290,043,573
EQUITY			
Stated capital	30	1,388,935,273	1,388,935,273
Retained earnings		401,610,081	288,608,924
Statutory reserve fund and other reserves	31	68,386,917	59,347,669
Total equity		1,858,932,271	1,736,891,866
Total equity and liabilities		11,727,694,421	10,026,935,439
Contingent liabilities and commitments	33		
Net assets value per share		2.22	2.07

Figures in brackets indicate deductions.

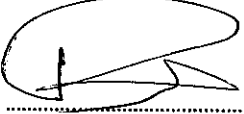
The accounting policies and notes on pages 05 to 52 form an integral part of these financial statements.

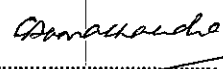
These Financial Statements are in compliance with the requirements of the Companies Act No.07 of 2007.


Geethika Elvalage
Assistant General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of the financial statements.

Approved and signed for and on behalf of the Board.


R.J.A Gunawardena
Director/Chief Executive Officer


C. Ramachandra
Chairman

Colombo
25th June, 2018
VR/dm



ASIA ASSET FINANCE PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 31ST MARCH, 2018

Page 3

	Stated capital Rs.	General reserve Rs.	Statutory reserve fund Rs.	Retained earnings Rs.	Total Rs.
Balance as at 31st March, 2016	1,388,935,273	3,000,000	42,579,648	27,016,515	1,461,531,436
Total comprehensive income for the year					
Profit for the year	-	-	-	278,048,809	278,048,809
Other comprehensive income (net of tax)	-	-	-	(2,688,379)	(2,688,379)
Total comprehensive income for the year	-	-	-	275,360,430	275,360,430
Transaction with equity holders recognized directly in equity					
Transfers to reserves	-	-	13,768,021	(13,768,021)	-
Total transactions with equity holders	-	-	13,768,021	(13,768,021)	-
Balance as at 31st March, 2017	1,388,935,273	3,000,000	56,347,669	288,608,924	1,736,891,866
Total comprehensive income for the year					
Profit for the year	-	-	-	178,225,427	178,225,427
Other comprehensive income (net of tax)	-	-	-	2,559,526	2,559,526
Total comprehensive income for the year	-	-	-	180,784,953	180,784,953
Transaction with equity holders recognized directly in equity					
Transfers to reserves	-	-	9,039,248	(9,039,248)	-
Total transactions with equity holders	-	-	9,039,248	(9,039,248)	-
Final dividend for 2016/2017	-	-	-	(58,744,548)	(58,744,548)
Balance as at 31st March, 2018	1,388,935,273	3,000,000	65,386,917	401,610,081	1,858,932,271

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 52 form an integral part of these financial statements.

Colombo
25th June, 2018



ASIA ASSET FINANCE PLC
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31ST MARCH, 2018

Page 4

	Note	2017/2018 Rs.	2016/2017 Rs.
Cash flows from operating activities			
Profit before income tax		222,139,969	315,876,417
Adjustments for			
Depreciation and amortization	21 & 23	45,161,381	33,953,124
Impairment of lease hire purchase, loans and advances	8	333,396,606	227,348,081
Early termination of loans, leases and hire purchase		(36,107,333)	(9,030,429)
Non-cash items included in profit before tax (WHT and Notional tax)		(13,323,227)	-
Interest income on commercial papers		(28,949,821)	-
Profit on sale of held for trading securities		40,449	(542,266)
Gain/loss on fair valuation of held for trading securities		(9,044)	(1,723,007)
Gains from sale of property, plant and equipment, investment property and real estate inventories		(5,035,502)	194,150
Provision for retirement benefit liability	29	5,754,935	4,906,571
Interest expense on other borrowings		393,757,139	263,993,473
Cash generated from operations before working capital changes		916,825,552	834,976,114
(Increase)/decrease in lease rentals receivable and hire purchase		(936,179,413)	147,505,181
(Increase)/decrease in loans and advances		(673,111,281)	(2,269,746,499)
(Increase)/decrease in other receivables		38,711	(667,273)
(Increase)/decrease in deposits and prepayments		(3,450,246)	(4,581,536)
(Increase)/decrease in financial assets - loans and receivables		49,959,551	-
Increase in deposits from customers		674,889,106	884,878,241
Increase/(decrease) in other liabilities		(10,140,467)	(6,380,496)
Net cash from operating activities before income tax payments		18,831,513	(414,016,268)
Taxes paid		(57,310,691)	(45,254,677)
Gratuity paid		(930,000)	(587,500)
Net cash used in operating activities		(39,409,178)	(459,858,445)
Cash flows from/(used in) investing activities			
Acquisition of property, plant and equipment		(51,718,268)	(55,426,269)
Acquisition of intangible assets		(627,851)	(2,200,000)
Acquisition of investment property		(15,000,000)	(195,000)
Proceeds from sale of investment property		16,350,000	9,500,000
Proceeds from sale of real estate inventories		-	32,450,000
Investments in commercial papers		(505,857,691)	-
Proceeds from commercial papers		327,562,766	-
Purchases of held for trading securities		-	(150,000,000)
Proceeds from sale of held for trading securities		-	159,122,879
Proceeds from sale of property, plant and equipment		24,782,254	10,370,000
Net cash from investing activities		(204,508,790)	3,621,610
Cash flows from/(used in) financing activities			
Repayment of other borrowed funds	27	(2,497,136,427)	(1,239,515,235)
Proceeds from other borrowed funds	27	2,627,939,860	1,842,206,810
Dividends paid		(57,864,958)	-
Net cash generated from financing activities		72,938,475	602,691,575
Net increase in cash and cash equivalents		(170,979,493)	146,454,740
Cash and cash equivalents at the beginning of the year	A	999,193,573	852,738,833
Cash and cash equivalents at the end of the year	B	828,214,080	999,193,573
At the beginning of the year			Note A
Cash and cash equivalents		601,891,827	690,797,870
Investment in reverse repurchase agreements against treasury bills and bonds		433,333,648	328,866,266
Bank overdraft		(36,031,902)	(166,925,303)
		999,193,573	852,738,833
At the end of the year			Note B
Cash and cash equivalents		660,159,119	601,891,827
Investment in reverse repurchase agreements against treasury bills and bonds		622,975,267	433,333,648
Bank overdraft		(454,920,306)	(36,031,902)
		828,214,080	999,193,573

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 52 form an integral part of these financial statements.

Colombo
25th June, 2018



1. CORPORATE INFORMATION

This section provides general information about Asia Asset Finance PLC.

1.1 General

Asia Asset Finance PLC is a Public Limited Liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The company has been registered with the Central Bank of Sri Lanka as a Finance Company under the provisions of the Finance Business Act No. 42 of 2011 (formerly the Finance Companies Act No.78 of 1988). The company was re-registered under the Companies Act No. 07 of 2007. The registered office of the company and the principal place of business is located at No 76/1, Dharmapala Mawatha, Colombo 03.

1.2 Principal activities and nature of operations

The principal activities of the company comprise granting leases, hire purchase, mortgage loans, personal loans, group personal loans, gold loans, micro finance loans, pledge loans, cheque and invoice discounting and mobilization of public deposits.

There were no significant changes in the nature of the principal activities of the company during the financial year under review.

1.3 Parent entity and ultimate parent entity

The company's immediate and ultimate parent entity as at 31st March, 2018 is Muthoot Finance Limited which was incorporated in India.

1.4 Number of employees

The staff strength of the company as at 31st March, 2018 was 489 (448 as at 31st March, 2017).

2. BASIS OF PREPARATION AND OTHER SIGNIFICANT ACCOUNTING POLICIES

This section which provides additional information about the overall basis of preparation that the directors consider, is useful and relevant in understanding these financial statements:

- A summary of other significant accounting policies affecting the results and financial position of the company, including changes in accounting policies and disclosures during the year.
- Standards that have been issued for which the company has not adopted.

2.1 Basis of measurement

The financial statements of the company have been prepared on the historical cost basis except for the following items in the statement of financial position:

Item	Basis of measurement
Financial assets held for trading	Fair value
Financial assets available for sale	Fair value
Retirement benefit obligation	Liability is recognized as the present value of the retirement obligation plus unrecognized actuarial gains less unrecognized past service cost and unrecognized actuarial losses.



2.2 Statement of compliance

The financial statements of the company as at 31st March, 2018 and for the year ended have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKAS) laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007, the Finance Business Act No 42 of 2011 and the Listing Rules of the Colombo Stock Exchange.

These financial statements include the following components:

- A statement of profit or loss and other comprehensive income providing the information on the financial performance of the company for the year under review.
- A statement of financial position providing the information on the financial position of the company as at the year end.
- A statement of changes in equity depicting all changes in shareholders' equity during the year under review of the company.
- A statement of cash flow providing the information to the users, on the ability of the company to generate cash and cash equivalents and the needs of entity to utilise those cash flow and
- Notes to the financial statements comprising accounting policies and other explanatory information.

2.3 Responsibility for financial statements

The Board of Directors is responsible for the preparation and presentation of these financial statements as per the provision of the Companies Act No. 07 of 2007 and Sri Lanka Accounting Standards.

2.4 Approval of financial statements by the Board of Directors

The financial statements of Asia Asset Finance PLC for the year ended 31st March, 2018 (including comparatives) were approved and authorized for issue on 25th June, 2018 in accordance with a resolution of the Board of Directors on 25th June, 2018.

2.5 Presentation of financial statements

The assets and liabilities in the statement of financial position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) has been presented in note 36 (current/non-current analysis). No adjustments have been made for inflationary factors affecting the financial statements.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses are not offset in the statement of comprehensive income unless it is required or permitted by any accounting standard or interpretation.

2.6 Comparative information

The accounting policies have been consistently applied by the company with those of the previous financial year in accordance with the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements'. Comparative information has been re-classified wherever necessary to comply with the current year's presentation.



2.7 Functional and presentation currency

The financial statements have been presented in Sri Lankan Rupees (Rs.), which is the company's functional and presentation currency.

2.8 Materiality and aggregation

In compliance with the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements', each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, unless they are immaterial.

2.9 Rounding

The amounts in the financial statements have been rounded-off to the nearest Rupee, except where it is otherwise indicated as permitted by the Sri Lanka Accounting Standard- LKAS 01 on 'Presentation of Financial Statements'.

2.10 Significant accounting judgements, estimates and assumptions

The preparation of the financial statements of the company in conformity with SLFRS and LKAS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Further, the management is also required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Actual results may differ from these estimates.

Accounting judgements, estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

The key significant accounting judgements, estimates and assumptions involving uncertainty are discussed below, whereas the respective carrying amounts of such assets and liabilities are given in the related notes.

2.10.1 Going concern

The company's management has made an assessment on the company's ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the management is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

2.10.2 Impairment losses on lease, hire purchase and loans and advances

The company reviews its individually significant lease, hire purchase and loans and advances at each reporting date to assess whether an impairment loss should be recorded in the statement of comprehensive Income. In particular, the management's judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on the assumptions about a number of factors and the actual results may differ, resulting in future changes to the allowance.



Lease, hire purchase, loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are assessed collectively, in groups of assets with similar characteristics, to determine whether provision should be made based on incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios, etc.), and judgements on the effect of concentrations of risks.

The impairment loss on loans and advances, lease rentals receivable and hire purchase is disclosed in more details in note 16.1 and note 17.3 to the financial statements.

2.10.3 Impairment of available for sale financial assets

The company reviews its financial assets classified as available for sale at each reporting date to assess whether they are impaired.

The company records impairment charges on available for sale assets when there has been a significant or prolonged decline in the fair value below their cost. The determination of what is 'significant' or 'prolonged' requires judgements.

The impairment charges for available for sale financial assets are disclosed in more detail in note 20 to the financial statements.

2.10.4 Taxation

The company is subject to income tax and other taxes including VAT on financial services. Significant judgement was required to determine the total provision for current, deferred and other taxes. Uncertainties existed, with respect to the interpretation of the applicability of tax laws, at the time of preparation of these financial statements.

The company recognizes assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income and deferred tax amounts in the period in which the determination is made.

2.10.5 Deferred tax assets

Deferred tax assets are recognised in respect of tax losses to the extent it is probable that future taxable profit will be available against which the losses can be utilised. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax planning strategies.

2.10.6 Retirement benefit obligation

The cost of the retirement benefit obligation of employees is determined using an actuarial valuation. The actuarial valuation is based on assumptions concerning the rate of interest, rate of salary increase, staff turnover, and retirement age and going concern of the company. Due to the long-term nature of such obligation, these estimates are subject to significant uncertainty. Further details are given in note 29 to the financial statements.



2.10.7 Useful lives of property, plant and equipment and intangible assets

The company depreciates the property plant and equipment, using the straight line method over their estimated useful lives after taking into account of their estimated residual values. The estimated useful life reflects the management's estimate of the period that the company intends to derive future economic benefits from the use of the property, plant and equipment. The residual value reflects the management's estimated amount that the company would currently obtain from the disposal of the asset, after deducting the estimated disposal, as if the asset were already of the age and in the conditions expected at the end of its useful life. Changes in the expected level of usage and technological developments could affect the economic useful lives and the residual values of these assets which could then consequentially impact future depreciation charges.

3. GENERAL ACCOUNTING POLICIES

3.1 Foreign currency transactions and balances

All foreign currency transactions are translated into the functional currency which is Sri Lanka Rupee (Rs.) at the spot exchange rate prevailing at the date of the transactions being effected. In this regard, the company's practice is to use the middle rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are re-translated to the functional currency at the spot rate of exchange ruling at the reporting date. The foreign currency gain or loss on monetary items is the difference between the amortised cost in the functional currency at the beginning of the year adjusted for effective interest and payments during the year and the amortised cost in foreign currency translated at the exchange rate at the reporting date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the spot exchange rates as at the date of recognition. Non-monetary items measured at fair value in a foreign currency are translated using the spot exchange rates at the date when the fair value was determined.

3.2 Financial instruments - initial recognition and subsequent measurement

3.2.1. Date of recognition

All financial assets and liabilities except 'regular way trades' are initially recognised on the trade date, i.e., the date on which the company becomes a party to the contractual provisions of the instrument. 'Regular way trades' means purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place. Those trades are initially recognised on the settlement date.

3.2.2. Classification and initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs that are directly attributable to acquisition or issue of such financial instrument, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss as per the Sri Lanka Accounting Standard- LKAS 39 on 'Financial Instruments: Recognition and Measurement'.



3.2.3. Classification and subsequent measurement of financial assets

At the inception, a financial asset is classified under one of the following categories:

- i) Financial Assets at Fair Value through profit or loss (FVTPL);
 - Financial Investments - Held for trading or
 - Financial Investments - Designated as fair value through profit or loss
- ii) Loans and receivables (L&R);
- iii) Financial Investments - Held to maturity (HTM); or
- iv) Available-for-sale (AFS) financial assets.

The company determines the classification of its financial assets at initial recognition. The classification depends on the purpose for which the investments were acquired or originated (i.e. intention) and based on the company's ability to hold.

The subsequent measurement of financial assets depends on their classification.

3.2.3.1. Financial assets at fair value through profit or loss (FVTPL)

Financial assets at fair value through profit or loss include financial assets held for trading and financial assets designated upon initial recognition at fair value through profit or loss.

Financial investments - designated at fair value through profit or loss

The company designates financial assets at fair value through profit or loss in the following circumstances;

- The assets are managed, evaluated and reported internally at fair value;
- The designation eliminates or significantly reduces an accounting mismatch, which would otherwise have arisen; or
- The asset contains an embedded derivative that significantly modifies the cash flows that would otherwise have been required under the contract.

Financial assets designated at fair value through profit or loss is recorded in the statement of financial position at fair value. Changes in fair value are recorded in 'net gain or loss on financial assets and liabilities designated at fair value through profit or loss'. Interest earned is accrued in 'interest income' using EIR while dividend income is recorded in 'other operating income' when the right to receive the payment has been established.

3.2.4. Classification and subsequent measurement of financial liabilities

At the inception, the company determines the classification of its financial liabilities. Accordingly, financial liabilities are classified as:

- i) Financial liabilities at fair value through profit or loss (FVTPL);
 - Financial liabilities - Held for trading or
 - Financial liabilities - Designated as fair value through profit or loss.
- ii) Financial liabilities at amortized cost.

The subsequent measurement of financial liabilities depends on their classification.



3.2.4.1. Financial liabilities at fair value through profit or loss

Financial liabilities at FVTPL include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through profit or loss. Subsequent to initial recognition, financial liabilities at FVTPL are measured at fair value, and changes therein recognized in profit or loss.

Financial liabilities are classified as held for trading if they are acquired principally for the purpose of selling or repurchasing in the near term or holds as a part of a portfolio that is managed together for short-term profit or position taking.

Gains or losses on liabilities held for trading are recognized in the statement of profit or loss.

3.2.4.2. Financial liabilities at amortised cost

Financial instruments issued by the company that are not designated at fair value through profit or loss, are classified as liabilities under 'due to banks', 'due to customers' and 'Other financial liabilities' as appropriate, where the substance of the contractual arrangement results in the company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares at amortized cost using the EIR method.

After initial recognition, such financial liabilities are substantially measured at amortized cost using the EIR method. Amortized cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortization is included in 'interest expenses' in the statement of profit or loss. Gains and losses are recognized in the statement of profit or loss when the liabilities are de-recognized as well as through the EIR amortization process.

The details of the company's financial liabilities at amortized cost are shown in note 11 to the financial statements.

3.2.5. Re-classification of financial instruments

The company does not re-classify any financial instrument into the 'fair value through profit or loss' category after initial recognition. Also the company does not re-classify any financial instrument out of the 'fair value through profit or loss' category if upon initial recognition, it was designated as at fair value through profit or loss.

The company re-classifies non-derivative financial assets out of the 'held for trading' category and into the 'available for sale', 'loans and receivables', or 'held to maturity' categories as permitted by the Sri Lanka Accounting Standard - LKAS 39 on Financial Instruments: Recognition and Measurement. In certain circumstances, the company is also permitted to re-classify financial assets out of the 'available for sale' category and into the 'loans and receivables', 'held for trading' or 'held- to maturity' category.

Re-classifications are recorded at fair value at the date of re-classification, which becomes the new amortized cost. For a financial asset re-classified out of the 'available for sale' category, any previous gain or loss on that asset that has been recognized in equity is amortized to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortized cost and the expected cash flows is also amortized over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is re-cycled to the statement of profit or loss.



The company may re-classify a non-derivative trading asset out of the 'held for trading' category and into the 'loans and receivables' category if it meets the definition of loans and receivables and the company has the intention and ability to hold the financial asset for the foreseeable future or until maturity. If a financial asset is re-classified, and if the company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognized as an adjustment to the EIR from the date of the change in estimate.

Re-classification is at the election of management, and is determined on an instrument by instrument basis.

3.2.6. De-recognition of financial assets and financial liabilities

3.2.6.1. Financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is de-recognised when;

- The rights to receive cash flows from the asset which have expired;
- The company has transferred its rights to receive cash flows from the assets or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either;
- The company has transferred substantially all the risks and rewards of the asset; or
- The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On de-recognition of a financial asset, the difference between the carrying amount of the asset and consideration received and any cumulative gain or loss that has been recognized is recognized in profit or loss.

When the company has transferred its rights to receive cash flows from an asset or has entered into a 'pass-through' arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the company's continuing involvement in the asset. In that case, the company also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

3.2.6.2. Financial liabilities

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or has expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognized in profit or loss.



3.2.7. Offsetting financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. This is not generally the case with master netting agreements. Therefore, the related assets and liabilities are presented gross in the statement of financial position.

Income and expenses are presented on a net basis only when permitted under LKAS / SLFRS, or for gains and losses arising from a group of similar transactions such as in the company's trading activity.

3.3. Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. The company uses various valuation methodologies that are appropriate in the circumstances and for which sufficient data is available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs. The use of observable and unobservable inputs and their significance in measuring fair value is reflected in our fair value hierarchy assessment.

Level 1 : Inputs include quoted prices for identical instruments and are the most observable.

Level 2 : Inputs include quoted prices for similar instruments and observable inputs such as interest rates, currency exchange rates and yield curves.

Level 3 : Inputs include data not observable in the market and reflect management judgement about the assumptions market participants would use in pricing the instruments.

The company reviews the inputs to the fair value measurements to ensure that they are appropriately categorised within the fair value hierarchy. Transfers into and transfer out of the hierarchy levels are recognized as if they had taken place at the end of the reporting period.

3.4. Impairment of non-financial assets

The carrying amounts of the company's non-financial assets, other than deferred tax assets are reviewed at each reporting date to assess whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing of an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use. Where the carrying amount of an asset or cash - generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.



In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share price for publicly traded subsidiaries or other available fair value indicators.

3.5. Provisions

Provisions are recognized in the statement of financial position when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with the Sri Lanka Accounting Standard - LKAS 37 on 'Provision, Contingent Liabilities and Contingent Assets'. The amount recognized is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. The expense relating to any provision is presented in the statement of profit or loss net of any reimbursement.

3.6. Fiduciary assets

The company provides trust and other fiduciary services that result in the holding or investing of assets on behalf of its clients. Assets held in a fiduciary capacity are not reported in these financial statements as they do not belong to the company.

3.7. Standards issued but not yet effective

The following Sri Lanka Accounting Standards were issued by the Institute of Chartered Accountants of Sri Lanka and is effective for the periods after the reporting date.

SLFRS 9 - Financial instruments: classification and measurement

SLFRS 9, issued in 2014, replaces the existing guidance in LKAS 39, Financial instruments: Recognition and Measurement.

SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, including a new expected credit loss model to calculating impairment on financial assets. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39.

SLFRS 09 will become effective on 01st January, 2018. The impact on the implementation of the above standard will be taken into the financial statements from the year ending 31st March, 2019.

SLFRS 15 - Revenue from contracts with customers

SLFRS establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaces existing revenue recognition guidance, including LKAS 18 on "Revenue" and LKAS 11 on "Construction Contracts".

SLFRS 15 will become effective on 01st January, 2018. The impact on the implementation of the above standard will be taken into the financial statements from the year ending 31st March, 2019.



SLFRS 16 - Leases

SLFRS 16 eliminates the classification of leases as either operating or finance for lessees and instead, introduces a single lessee accounting model. This model reflects that leases result in a company obtaining the right to use an asset at the start of the lease and, because most lease payments are made over time, also obtaining financing. As a result, the new standard requires lessees to account for all of their leases in a manner similar to how finance leases were treated applying LKAS 17.

The new standard SLFRS 16, supersedes the requirement in LKAS 17 leases and will become effective on 01st January, 2019.

4. SPECIFIC ACCOUNTING POLICIES

4.1. Income

Income is recognized to the extent that it is probable that the economic benefits will flow to the company and revenue can be reliably measured. The specific recognition criteria, for each type of gross income, are as follows;

4.1.1. Net interest income

4.1.1.1. Interest income and interest expense

For all financial instruments measured at amortized cost, interest income or expense is recorded using the Effective Interest Rate (EIR). EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability. The calculation takes into account all contractual terms of the financial instrument (for example, prepayment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses.

The carrying amount of the financial asset or financial liability is adjusted if the company revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original EIR and the change in carrying amount is recorded as 'Interest income' for financial assets and 'Interest expense' for financial liabilities. However, for a re-classified financial asset for which the company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognized as an adjustment to the EIR from the date of the change in estimate.

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognized using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

4.1.1.2. Interest on overdue rentals

Interests from overdue rentals have been accounted for on a cash received basis.

4.1.2. Net trading gain/(loss) on held for trading securities

Results arising from trading activities include all gains and losses from changes in fair value for financial assets 'held for trading'.



4.1.3. Other operating income

Other Operating income includes gains on property, plant and equipment, hiring income, rent income, dividend income and capital gains/(losses).

4.1.3.1. Dividend income

Dividend income is recognized when the company's right to receive the income is established.

4.1.3.2. Gain or losses on disposal of property, plant and equipment, investment properties and real estates

Gains or losses resulting from the disposal of property, plant and equipment, investment properties and real estates are accounted for on cash basis in the statement of profit or loss, in the period in which the sale occurs.

4.1.3.3. Other income

Other income is recognized on an accrual basis.

4.2. Personnel expenses

Personnel expenses include salaries and bonus, terminal benefit charges and other related expenses. The provision for bonus is recognized when it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made on the amount of the obligation.

Employees are eligible for Employees' Provident Fund (EPF) contributions and Employees' Trust Fund (ETF) contributions in accordance with the respective statutes and regulations.

4.3. General and administration expenses

General and administration expenses are recognized in the statement of profit or loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency have been charged to the statement of profit or loss in arriving at the profit for the year.

Nation Building Tax (NBT) on financial services

NBT on financial services is calculated in accordance with Nation Building Tax (NBT) Act No 9 of 2009 and subsequent amendments thereto with effect from 01st January, 2014. NBT on financial services is calculated as 2% of the value addition used for the purpose of VAT on financial services.

4.4. Income tax expense

Current tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid, to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 10 of 2006 and the amendments thereto at the rate of 28%.



4.5. Earnings Per Share (EPS) - basic

Basic earnings per share is calculated by dividing the net profit for the year attributable to equity holders of the company by the weighted average number of ordinary shares outstanding during the year, as per LKAS 33 - Earnings per share.

4.6. Cash and cash equivalents

Cash and cash equivalents include cash in hand, placements with banks and loans at call and at short notice that are subject to an insignificant risk of changes in their fair value, and are used by the company in the management of its short-term commitments. They are brought to the financial statements at their face values or the gross values, where appropriate.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

4.7. Investment in reverse repurchase agreements against treasury bills and bonds

This includes treasury bills and bonds under repurchase agreements. These investments are initially recognised at fair value net of transactions cost. Subsequently, they are stated at amortised cost; any difference between the proceeds (net of transaction cost) and the receivable amount (including interest income) is recognised in the statement of profit or loss over the period of the assets using effective interest method.

4.8. Other financial assets

This includes investments in debentures. Other financial assets are initially recognised at fair value net of transactions cost. Subsequently, they are stated at amortised cost; any difference between the proceeds (net of transaction cost) and the receivable amount (including interest income) is recognised in the statement of profit or loss over the period of the assets using effective interest method.

4.9. Financial investments - held for trading

Financial assets are classified as held for trading if they are acquired principally for the purpose of selling or repurchasing in the near term or holds as a part of a portfolio that is managed together for short-term profit or position taking. Financial investments held for trading are recorded in the statement of financial position at fair value. Changes in fair value are recognised in 'net trading gain. Dividend income is recorded in 'other operating income' according to the terms of the contract, or when the right to receive the income has been established.

Financial investments held for trading include equities and the debt instruments that have been acquired principally for the purpose of selling or repurchasing in the near term.

4.10. Loans and receivables

Lease rentals receivables, Hire Purchase, Loans and Advances

Financial assets classified as loans and receivables include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- Those that the company intends to sell immediately or in the near term and those that, upon initial recognition, designates as at fair value through profit or loss
- Those that the company, upon initial recognition, designates as available for sale
- Those for which the company may not recover substantially all of its initial investment, other than because of credit deterioration





After initial measurement, 'loans and receivables' are subsequently measured at amortised cost using the EIR, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'interest income' in the statement of profit or loss. The losses arising from impairment are recognised in the statement of profit or loss in 'impairment charges for lease rental receivable, hire purchase, loans and advances'.

4.10.1. Leasing

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

4.10.2. Company as a lessor

Leases where the company does not transfer substantially all of the risks and benefits of ownership of the assets are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognized as revenue in the period in which they are earned.

4.10.3. Write-off of loans and advances

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realisation of security.

4.10.4. Re-negotiated loans

Where possible, the company seeks to restructure loans rather than to take possession of collateral. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been re-negotiated, any impairment is measured using the original EIR as calculated before the modification of terms and the loan is no longer considered past due. Management continually reviews re-negotiated loans to ensure that all criteria are met and that future payments are likely to occur. The loans continue to be subject to any criteria are met and that future payments are likely to occur. The loans continue to be subject to an individual or collective impairment assessment, calculated using the loan's original EIR.

4.10.5. Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognized in the statement of profit or loss.

4.10.6. Impairment allowance for loans and receivables

The company assesses at each reporting date, to ascertain whether there is any objective evidence that a financial asset or a company of financial assets are impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an 'incurred loss event') and that loss event (or events) have an impact on the estimated future cash flows of the financial asset or a group of financial assets that can be reliably estimated.

4.10.7. Loans and receivables

Losses for impaired loans are recognised promptly when there is objective evidence that impairment of loan or portfolio of loans has occurred. Impairment allowances are calculated on individual and collective basis. Impairment losses are recorded as charges to the statement of profit or loss. The carrying amount of impaired loans on the statement of financial position is reduced through the use of impairment allowance accounts. Losses expected from future events are not recognized.

4.10.8. Individually assessed loans and receivables

For all loans that are considered individually significant, the company assesses on a case-by-case basis at each reporting date to determine whether there is any objective evidence that a loan is impaired. The criteria used to determine that there is such objective evidence include;

- known cash flow difficulties experienced by the borrower;
- past due contractual payments of either principal or interest;
- breach of covenants or conditions;
- the probability that the borrower will enter bankruptcy or other financial realisation; and
- a significant downgrading in credit rating by an external credit rating agency.
- For those loans where objective evidence of impairment exists, impairment losses are determined considering the following factors:
 - company's aggregate exposure to the customer;
 - The viability of the customer's business model and their capacity to trade successfully out of financial difficulties and generate sufficient cash flow to service debt obligations;
 - The amount and timing of expected receipts and recoveries;
 - The extent of other creditors' commitments ranking ahead of, or pari-passu with, the company and the likelihood of other creditors continuing to support the company;
 - The complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;
 - The realisable value of security (or other credit mitigates) and likelihood of successful repossession;
 - The likely deduction of any costs involved in recovery of amounts outstanding;
 - The ability of the borrower to obtain, and make payments in, the currency of the loan if not denominated in local currency; and
 - The likely dividend available on liquidation or bankruptcy;

Impairment losses are calculated by discounting the expected future cash flows of a loan at its original effective interest rate and comparing the resultant present value with the loan's current carrying amount. The impairment allowances on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment allowances are only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

4.10.9. Collectively assessed loans and receivables

Impairment is assessed on a collective basis to cover losses which have been incurred but have not yet been identified on loans subject to individual assessment.



4.10.10. Incurred but not yet identified impairment

Individually assessed loans for which no evidence of loss has been specifically identified on an individual basis are grouped together according to their credit risk characteristics for the purpose of calculating an estimated collective loss. This reflects impairment losses that the company has incurred as a result of events occurring before the reporting date, which the company is not able to identify on an individual loan basis, and that can be reliably estimated. These losses will only be individually identified in the future. As soon as information becomes available which identifies losses on individual loans within the company, those loans are removed from the company and assessed on an individual basis for impairment.

The collective impairment allowance is determined after taking into account;

- Historical loss experience in portfolios of similar credit risk; and
- Management's experienced judgment as to whether current economic and credit conditions are such that the actual level of inherent losses at the reporting date is likely to be greater or less than that suggested by historical experience.

Loans are grouped into ranges according to the number of days in arrears and statistical analysis is used to estimate the likelihood that loans in each range will progress through the various stages of delinquency, and ultimately prove irrecoverable.

Current economic conditions and portfolio risk factors are also evaluated when calculating the appropriate level of allowance required to cover the inherent loss. These additional macro and portfolio risk factors may include:

- Recent lending portfolio growth and product mix,
- Unemployment rates, Gross Domestic Production (GDP) growth, inflation
- Exchange rates, interest rates
- Changes in laws and regulations

4.10.11. Impairment charges for loans and receivable

The company reviews its individually significant loans and advances including rental receivable at each statement of financial position date to assess whether an impairment loss should be recorded in the statement of profit or loss. In particular, management's judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

Loans and advances including rental receivable that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as levels of arrears, characteristic of assets, etc.), and judgments on the effect of concentrations of risks and economic data (including levels of unemployment, real estate prices indices, country risk and the performance of different individual groups).

4.11. Real estate inventories

Real estate inventories represent the purchase value of properties acquired for re-sale. Carrying value of the real estate stocks as at the reporting date represents the purchase value of properties and any subsequent expenditure incurred on developing of such properties.



4.12. Other assets

The company classifies all its other assets as other assets and other non-financial assets. Other assets mainly comprise advance payments, VAT receivable and sundry receivables. Advance payments are carried at historical cost.

4.13. Income tax

The company is subject to income taxes. Significant judgment is required to determine the total provision for current, deferred and other taxes. Uncertainties existed, with respect to the interpretation of the applicability of tax laws, at the time of the preparation of these financial statements.

The company recognised assets and liabilities for current deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters are different from the amounts that were initially recorded, such differences will impact the income, deferred tax amounts in the period in which the determination is made.

Economic Service Charge (ESC)

As per the provisions of the Economic Service Charge (ESC) Act No. 13 of 2006, and subsequent amendments thereto, the ESC is payable at 0.25% on 'Exempt Turnover' and is deductible from the income tax payments. Unclaimed ESC, if any, can be carried forward and set-off against the income tax payable in the five subsequent years.

4.14. Financial investments-available for sale

Available for sale financial investments include equity and debt securities. Equity investments classified as available for sale are those which are neither classified as held for trading nor designated at fair value through profit or loss. Debt securities in this category are intended to be held for an indefinite period of time and may be sold in response to needs for liquidity or in response to changes in the market conditions.

The company has not designated any loans or receivables as available for sale.

After initial measurement, available for sale financial investments are subsequently measured at fair value.

Unrealised gains and losses are recognised directly in equity (Other comprehensive income) in the 'Available for sale reserve'. When the investment is disposed of, the cumulative gain or loss previously recognised in equity is recognised in the statement of profit or loss in 'Other operating income'. Where the company holds more than one investment in the same security, they are deemed to be disposed of on a first-in first-out basis. Interest earned whilst holding available for sale financial investments is reported as interest income using the effective interest rate (EIR).

Dividends earned whilst holding available for sale financial investments are recognised in the statement of profit or loss as 'Other operating income' when the right of the income has been established. The losses arising from impairment of such investments are recognised in the statement of profit or loss in 'Impairment charges for loans and other losses' and removed from the 'Available for sale reserve'.



4.14.1. Impairment of available for sale financial investments

For available for sale financial investments, the company assesses at each reporting date to ascertain whether there is objective evidence that an investment is impaired.

However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the statement of profit or loss. Future interest income is based on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Interest income'. If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to a credit event occurring after the impairment loss was recognised in the statement of profit or loss, the impairment loss is reversed through the statement of profit or loss.

4.15. Property, plant and equipment

Basis of recognition

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the assets will flow to the company and cost of the assets can be measured reliably.

4.15.1. Basis of measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalised borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalised as a part of computer equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

The company applies the cost model to property, plant and equipment and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

4.15.2. Subsequent costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The cost of day today servicing of property, plant and equipment is charged to the statement of profit or loss as incurred.



4.15.3. Repairs and maintenance

Repairs and maintenance are charged to the statement of profit or loss during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

4.15.4. De-recognition

Property, plant and equipment are derecognized on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the statement of profit or loss in the year the asset is de-recognized.

4.15.5. Depreciation

Depreciation is recognized in the statement of profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment since this method most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

The estimated useful lives are as follows;

Building	8 years
Plant	8 years
Furniture and fittings	6 years
Office equipment	6 years
Motor vehicles	4 years
Computer hardware	6 years

The depreciation rates are determined separately for each significant part of an item of property, plant and equipment and commences to depreciate when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by the management. Depreciation methods, useful lives and residual values are re-assessed at each reporting date and adjusted, if appropriate.

4.16. Intangible assets

The company's intangible assets include the value of computer software.

4.16.1. Basis of recognition

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the company in accordance with the Sri Lanka Accounting Standard- LKAS 38 on 'Intangible Assets'.

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are stated in the statement of financial position at cost less any accumulated amortisation and any accumulated impairment losses, if any.



4.16.2. Subsequent expenditure

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

4.16.3. Useful economic lives, amortisation and impairment

Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit or loss in the expense category consistent with the function of the intangible asset.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful economic lives at the rates as specified below;

Computer software - 8 years

4.16.4. De-recognition

Intangible assets are de-recognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognised.

4.17. Investment property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Investment properties are initially recognised at cost. Subsequent to initial recognition, the investment properties are stated at cost.

4.17.1. De-recognition

Investment properties are de-recognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the statement of profit or loss in the year of retirement or disposal.

4.17.2. Subsequent transfers to/from investment property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.





Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sale.

For a transfer from investment property to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the company as an owner occupied property becomes an investment property, the company accounts for such property in accordance with the policy stated under property, plant and equipment upto the date of change in use.

For a transfer from inventories to investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss. When the company completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss.

4.18. Deferred tax assets

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date. Deferred tax liabilities are recognised for all taxable temporary differences. Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilised.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

4.19. Due to bank

Due to banks include bank overdrafts and long-term and short-term loans obtained from banks. Subsequent to initial recognition, these are measured at their amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the statement of profit or loss. Gains and losses are recognized in the statement of profit or loss when the liabilities are de-recognized as well as through the EIR amortisation process.

4.20. Other liabilities

Other liabilities include related party payables, VAT on Financial Services payable, retirement benefit obligation and other amount payable. These liabilities are recorded at amounts expected to be payable at the reporting date.



Value Added Tax (VAT) on Financial Services

Value Added Tax (VAT) on Financial Services is calculated in accordance with Value Added Tax Act No. 14 of 2002 and subsequent amendments thereto. The base for Value Added Tax computation of Value added tax on financial services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments of employees computed on prescribed rates.

4.21. Other borrowed funds

Debt instruments and other borrowings are initially recognised at fair value net of transactions cost. Subsequently, they are stated at amortised cost; any difference between the proceeds (net of transaction cost) and the repayable amount (including interest) is recognized in the statement of profit or loss over the period of the loan using effective interest rate method.

4.22. Due to customers

Due to customers include fixed deposits and savings deposits. Subsequent to initial recognition, these are measured at their amortised cost using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the statement of profit or loss. Gains and losses are recognized in the statement of profit or loss when the liabilities are de-recognized as well as through the EIR amortisation process.

4.23. Retirement benefit obligation

The company measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the 'Projected Unit Credit method' (PUC) as required by the Sri Lanka Accounting Standard- LKAS 19 on 'Employee Benefits'.

4.23.1 Recognition of actuarial gains and losses

The company recognises the total actuarial gains and losses that arise in calculating the company's obligation in respect of the plan in other comprehensive income during the period in which it occurs.

4.23.2 Funding arrangements

The gratuity liability is not externally funded.

4.23.3 Defined contribution plans -Employees' Provident Fund

The company and employees contribute to the Employees' Provident Fund managed by the Central Bank of Sri Lanka at 12% and 8% respectively on the gross salary of each employee.

Defined contribution plans -Employees' Trust Fund

The company contributes to the Employees' Trust Fund at 3% on the gross salary of each employee.

4.24. Contingent liabilities and commitments

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be readily measured as defined in the Sri Lanka Accounting Standard- LKAS 37 on 'Provisions, Contingent Liabilities and Contingent Assets'. Contingent Liabilities are not recognized in the statement of financial position but are disclosed unless its occurrence is remote.

Details of the commitments and contingencies are given in note 33 to the financial statements.

4.25. Statement of cash flows

The statement of cash flows has been prepared by using 'The Indirect Method' in accordance with the Sri Lanka Accounting Standard - 'LKAS 7' - 'Statement of Cash Flows', whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognized. Cash and cash equivalents mainly comprise cash in hand, balances at banks and bank overdrafts.

4.26. Segment reporting

An operating segment is a component of the company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the company's other components. All operating segments' operating results are reviewed regularly by the senior management to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

Segment results that are reported to the senior management personnel and the Board of Directors include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The relevant disclosures are given in note 38 to the financial statements.

4.27. Dividends payable

Dividends on ordinary shares are recognized as a liability and deducted from equity when they are recommended by and declared by the Board of Directors and approved by the shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the company. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date in accordance with the Sri Lanka Accounting Standard- LKAS 10 on 'Events after the Reporting period'. Withholding Tax on Dividends, distributed by the company are recognized at the time the liability to pay the related dividend is recognized.



	2017/2018 Rs.	2016/2017 Rs.
5. INTEREST INCOME		
Interest on leases	407,178,686	293,976,605
Interest on hire purchase	10,472,832	39,716,631
Interest on loans	1,551,867,817	1,401,006,332
Overdue interest	54,038,307	26,714,068
Interest on treasury bills in reverse repurchase agreements	63,145,461	37,448,251
Interest on bank deposits	41,253,178	45,089,015
Interest on commercial papers	28,949,821	-
Interest on debentures	-	6,237,909
Interest on gold loans	286,483,298	170,368,146
	<u>2,443,389,400</u>	<u>2,020,556,957</u>

5.1 Notional tax credit on government securities on secondary market transactions

The Inland Revenue Act No.10 of 2006, provides that a company which derives interest income from the secondary market transactions in Government Securities (on or after April 1, 2002) would be entitled to a notional tax credit (being one ninth of the net interest income) provided such interest income forms part of the statutory income of the company for that year of assessment.

Accordingly, the net interest income earned from the secondary market transactions in Government Securities for the year, has been grossed up in the financial statements by the resulting notional tax credit which amount to Rs.6,314,546/- (2016/17 - Rs.3,744,825/-).

	2017/2018 Rs.	2016/2017 Rs.
6. INTEREST EXPENSES		
Interest on fixed deposits	839,457,158	655,199,103
Interest on other borrowings	393,757,139	264,098,552
	<u>1,233,214,297</u>	<u>919,297,655</u>

7. OTHER OPERATING INCOME

Documentation charges and service charges	74,992,803	75,762,455
Gains from disposal of property, plant and equipment, investment property and real estate inventories	5,035,502	1,824,325
Profit on settled contracts	36,107,333	9,030,428
Dividend income	190,436	631,147
Operating lease income	1,806,600	3,375,987
Rent income	5,830	10,000
Insurance commission income	8,073,030	5,731,427
Sundry income	2,516,332	10,263,493
Cheque discounting administration income	250,704	1,080,963
Money gram income	29,005	14,174
	<u>129,007,575</u>	<u>107,724,399</u>

8. IMPAIRMENT CHARGE FOR LEASE RENTALS RECEIVABLE, HIRE PURCHASE LOANS AND ADVANCES

Lease rentals receivable and hire purchase	77,111,084	63,229,118
Loans and advances	256,285,522	164,118,963
	<u>333,396,606</u>	<u>227,348,081</u>

9. OPERATING PROFIT BEFORE INCOME TAX

Stated after charging all expenses including the following :

Included in personnel cost,
Directors' remuneration
Salaries and bonus
Defined contribution plan costs - EPF and ETF
Other staff related expenses

Included in general and administration expenses,
Depreciation and amortization
Auditors' remuneration - external audit current year
- Non-audit

Advertising and business promotion
Professional and legal fees

22,187,002	21,098,420
159,580,750	140,313,954
21,802,657	17,858,053
60,895,063	70,843,431
45,161,382	34,009,748
1,452,000	1,320,000
243,371	581,145
14,815,893	12,278,232
7,452,336	4,508,724





	2017/2018 Rs.	2016/2017 Rs.
10. INCOME TAX EXPENSES		
Major components of income tax expense for the year ended 31st March are as follows:		
Statement of profit or loss		
Current income tax (note 10.1)		
Current income tax charge	32,734,076	56,155,780
Under/(over) provision of current taxes in respect of prior years	6,787,842	60,276
Deferred tax		
Deferred taxation	4,392,624	(18,388,448)
Income tax expense reported in the profit or loss	<u>43,914,542</u>	<u>37,827,608</u>
Statement of other comprehensive income		
Deferred tax		
Deferred taxation reversal/(expense)	995,371	588,083
Income tax expenses reported in the other comprehensive income	<u>995,371</u>	<u>588,083</u>
10.1 Reconciliation of accounting profit and taxable income		
Accounting profit (profit before income tax)	222,139,969	315,876,417
Add : Disallowable expenses	469,399,119	339,936,899
Less : Allowable expenses	(461,286,898)	(428,214,797)
Less : Exempt income	(34,175,759)	(11,793,644)
Add : Adjusted business loss/(Profit) from leasing business	(16,218,871)	92,743,369
Statutory income	179,857,561	308,548,244
Tax loss brought forward and utilized (35% of statutory income)	(62,950,146)	(107,991,885)
Taxable income	<u>116,907,415</u>	<u>200,556,359</u>
Income tax @ 28%	<u>32,734,076</u>	<u>56,155,780</u>
Effective income tax rate	15%	18%

10.2 Deferred tax assets and liabilities relate to the followings:

	Statement of financial position		Statement of comprehensive income	
	2017/2018 Rs.	2016/2017 Rs.	2017/2018 Rs.	2016/2017 Rs.
Deferred tax liability				
Lease rental receivable	(69,629,663)	(25,165,707)	(44,463,956)	(27,024,109)
Property, plant and equipment	27,832,660	22,979,815	4,852,845	5,793,938
	<u>(41,797,003)</u>	<u>(2,185,892)</u>	<u>(39,611,111)</u>	<u>(21,230,171)</u>
Deferred tax assets				
Retirement benefit obligation	5,612,598	5,256,987	355,611	1,797,422
Tax loss *	51,022,531	46,365,449	4,657,082	(44,639,931)
Specific provisions for doubtful debts (LLP)	14,382,582	64,394,381	(50,011,799)	39,412,703
	<u>71,017,711</u>	<u>116,016,817</u>	<u>(44,999,106)</u>	<u>(3,429,806)</u>
Deferred tax reversal			<u>5,387,995</u>	<u>(17,800,365)</u>
Net deferred tax asset	<u>112,814,714</u>	<u>118,202,709</u>		

Deferred tax has been determined based on the effective tax rate of 28%.

* As of 31st March, 2018, the company has a tax loss amounting to Rs.382,313,754/- (2017 - Rs.545,229,551/-) which is available for 6 years for offsetting against future Statutory Income of the company in each year of assessment. A deferred tax asset has been recognized upto a tax loss of Rs.182,223,326/- (2017 - Rs.165,590,889/-). However, deferred tax assets have not been recognized for the tax losses amounting to Rs.200,090,429/- arisen from finance lease business as at 31st March, 2018.

The carrying amount of deferred tax assets is reviewed by the management at each reporting date and recognized to the extent of probable taxable profits in 6 years time.

11. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

11.1 AS AT 31ST MARCH, 2018

Assets	AFS Rs.	FVTPL Rs.	L & R Rs.	Total Rs.
Cash and cash equivalents	-	-	660,159,119	660,159,119
Investment in reverse repurchase agreements against the treasury bills and bonds	-	-	622,975,267	622,975,267
Other financial assets	-	-	207,244,747	207,244,747
Financial assets - held for trading	-	213,734	-	213,734
Loans and advances	-	-	7,247,899,368	7,247,899,368
Lease rentals receivable and hire purchase	-	-	2,280,489,222	2,280,489,222
Financial assets - available for sale	506,659	-	-	506,659
Total financial assets	506,659	213,734	11,018,767,723	11,019,488,116

	Financial liabilities at amortized cost Rs.	Total Rs.
Liabilities		
Due to customers	6,356,067,246	6,356,067,246
Due to banks	454,920,306	454,920,306
Other borrowed funds	3,001,078,792	3,001,078,792
Total financial liabilities	9,812,066,344	9,812,066,344

11.2 As at 31st March, 2017

Assets	AFS Rs.	FVTPL Rs.	L & R Rs.	Total Rs.
Cash and cash equivalents	-	-	601,891,827	601,891,827
Investment in reverse repurchase agreements against treasury bills and bonds	-	-	433,333,648	433,333,648
Financial assets - held For trading	-	50,204,691	-	50,204,691
Loans and advances	-	-	6,838,366,400	6,838,366,400
Lease rentals receivable and hire purchase	-	-	1,424,679,822	1,424,679,822
Financial assets - available for sale	506,659	-	-	506,659
Total financial assets	506,659	50,204,691	9,298,271,697	9,348,983,047

	Financial liabilities at amortized cost Rs.	Total Rs.
Liabilities		
Due to customers	5,681,178,140	5,681,178,140
Due to banks	36,031,902	36,031,902
Other borrowed funds	2,476,518,223	2,476,518,223
Total financial liabilities	8,193,728,265	8,193,728,265

AFS Available for sale
FVTPL Fair value through profit or loss
L & R Loan and receivables



	31.03.2018 Rs.	31.03.2017 Rs.
12. CASH AND CASH EQUIVALENTS		
Cash in hand	84,970,208	35,339,439
Cash at banks	575,188,911	566,552,388
	<u>660,159,119</u>	<u>601,891,827</u>
13. INVESTMENT IN REVERSE REPURCHASE AGREEMENTS AGAINST TREASURY BILLS AND BONDS		
Reverse repurchase agreements against treasury bills and bonds	622,975,267	433,333,648
	<u>622,975,267</u>	<u>433,333,648</u>
14. OTHER FINANCIAL ASSETS		
Commercial Papers	207,244,747	-
	<u>207,244,747</u>	<u>-</u>
15. FINANCIAL ASSETS-HELD FOR TRADING		
Quoted equity securities (note 15.1)	213,734	204,691
Quoted debenture investments (note 15.2)	-	50,000,000
	<u>213,734</u>	<u>50,204,691</u>

15.1 Quoted equity securities

	31.03.2018		31.03.2017	
	Number of shares	Market value Rs.	Number of shares	Market value Rs.
Bank finance and insurance				
Commercial Bank of Ceylon PLC (Voting)	710	96,418	702	91,541
Chilaw Finance PLC	-	-	50	1,060
Abans Finance PLC	50	1,065	50	1,205
Alliance Finance Company PLC	666	43,756	666	36,630
Associated Motor Finance Company PLC	50	20,000	50	22,995
Arpico Finance Company PLC	50	7,150	50	8,265
Bimpuh Finance PLC	100	4,450	100	5,930
Colombo Trust Finance PLC	50	1,250	50	500
Citizens Development Business Finance PLC	50	4,245	50	3,210
Central Finance Company PLC	103	10,290	103	8,879
Central Investments and Finance PLC	50	40	50	35
Commercial Leasing and Finance PLC	50	135	50	130
Commercial Credit and Finance PLC	50	2,155	50	1,980
Softlogic Finance PLC	50	1,750	50	1,550
Nation Lanka Finance PLC	50	50	50	50
Summit Finance PLC	50	1,145	50	1,450
LB Finance PLC	100	11,890	100	11,840
Lanka Orix Leasing Company PLC	50	195	50	110
Merchant Bank of Sri Lanka & Finance PLC	50	650	50	540
Multi Finance PLC	50	690	50	690
Peoples Leasing Company PLC	50	790	50	780
People's Merchant Finance PLC	50	550	50	695
Singer Finance Lanka PLC	50	770	50	855
Sinhaputhra Finance PLC	50	600	50	575
Swarnamahar Finance PLC	50	120	50	36
The Finance Company PLC	50	230	50	235
Vallibel Finance PLC	50	3,350	50	2,925
Total	<u>2,729</u>	<u>213,734</u>	<u>2,771</u>	<u>204,691</u>

15.2 Quoted debenture investments

	31.03.2018		31.03.2017	
	Number of debentures	Market value Rs.	Number of debentures	Market value Rs.
Citizen Development Business Finance PLC	-	-	499,990	50,000,000
	-	-	<u>499,990</u>	<u>50,000,000</u>



	31.03.2018 Rs.	31.03.2017 Rs.
16. LOANS AND ADVANCES		
Mortgage loans	414,210,707	441,082,523
Pledge loans	388,141,349	357,993,323
Personal and corporate loans	2,430,573,313	2,302,368,522
Group personal loans	924,703,569	994,822,902
Cheque and invoice discounting	49,648,832	66,072,959
Micro finance loans	1,640,927,931	1,646,640,262
Sale and lease back loans	1,000,001	1,000,001
Project financing loan	116,140,599	118,751,261
Gold loan	1,757,356,525	1,188,284,906
	<u>7,722,702,826</u>	<u>7,117,016,659</u>
Less: Allowance for impairment losses (note 16.1)	(474,803,458)	(278,650,259)
	<u>7,247,899,368</u>	<u>6,838,366,400</u>
16.1 Impairment allowance for loans and advances to customers		
As at the beginning of the year	278,650,259	141,774,313
Net charge for the year	256,285,522	164,118,963
Write off during the year	(60,132,323)	(27,243,017)
As at the end of the year	<u>474,803,458</u>	<u>278,650,259</u>
Individual impairment	139,156,081	46,650,042
Collective impairment	335,647,377	232,000,217
Total impairment	<u>474,803,458</u>	<u>278,650,259</u>
17. LEASE RENTALS RECEIVABLE AND HIRE PURCHASE		
Lease rentals receivables (note 17.1)	2,221,631,846	1,263,638,484
Hire purchases (note 17.2)	58,857,376	161,041,338
	<u>2,280,489,222</u>	<u>1,424,679,822</u>
17.1 Lease rentals receivables		
Gross rentals receivable	2,920,094,868	1,712,966,551
Less: Unearned income	(780,478,847)	(399,920,517)
Pre-paid rentals	(2,179,100)	-
Lease capitalized charges	153,305,821	-
Allowance for impairment losses	(69,110,896)	(49,407,550)
	<u>2,221,631,846</u>	<u>1,263,638,484</u>
17.2 Hire purchases		
Gross rentals receivable	94,356,345	246,473,625
Less: Unearned income	(1,635,921)	(14,601,724)
Pre-paid rentals	(1,273,629)	(1,940,335)
Allowance for impairment losses	(32,589,419)	(68,890,228)
	<u>58,857,376</u>	<u>161,041,338</u>





	31.03.2018	31.03.2017
	Rs.	Rs.
17.3 Allowance for impairment losses		
17.3.1 Lease rentals receivable		
As at the beginning of the year	49,407,550	88,463,178
Net charge for the year	49,569,053	31,636,410
Write off during the year	(29,865,707)	(70,692,038)
As at the end of the year	69,110,896	49,407,550
Individual impairment	-	-
Collective impairment	69,110,896	49,407,550
Total allowance for impairment losses	69,110,896	49,407,550
17.3.2 Hire purchase		
As at the beginning of the year	68,890,228	95,948,674
Net charge for the year	27,542,031	31,592,708
Write off during the year	(63,842,840)	(58,651,154)
As at the end of the year	32,589,419	68,890,228
Individual impairment	-	-
Collective impairment	32,589,419	68,890,228
Total allowance for impairment losses	32,589,419	68,890,228
17.4 Age analysis of lease and hire purchase		
17.4.1 Lease and hire purchase receivable not later than 1 year		
Gross rentals receivable	1,505,132,868	967,402,336
Less: Unearned income	(459,789,951)	(164,366,015)
Pre-paid rentals	(3,452,729)	(1,940,335)
Lease capitalized charges	68,680,071	-
Allowance for impairment losses	(47,505,059)	(58,405,226)
	1,063,065,200	742,690,760
17.4.2 Lease and hire purchase receivable later than 1 year and not later than 5 years		
Gross rentals receivable	1,509,318,345	992,037,841
Less: Unearned income	(322,324,816)	(250,156,226)
Pre-paid rentals	-	-
Lease capitalized charges	84,625,750	-
Allowance for impairment losses	(54,195,257)	(59,892,552)
	1,217,424,022	681,989,063
18. OTHER ASSETS		
Other receivables	15,587,389	15,626,098
	15,587,389	15,626,098
19. ADVANCES, DEPOSITS AND PREPAYMENTS		
Advances, deposits and prepayments	67,948,443	64,760,286
20. FINANCIAL ASSETS - AVAILABLE FOR SALE		
	31.03.2018	31.03.2017
	Number of shares	Directors' valuation* Rs.
Unquoted cumulative redeemable preference shares		
Platinum Reality Investment Limited	25,000	6,500,000
Less : Impairment charge		(6,500,000)
		-
Unquoted Ordinary shares	45,000	200,000
Finance Houses Consortium Private Limited	67	306,659
Credit Information Bureau of SL (CRIB)	45,067	506,659

*The Directors' valuation of non-quoted securities based on cost of investment less impairment amounts to Rs.506,659/- (2017 - Rs.506,659/-).

21. PROPERTY, PLANT AND EQUIPMENT

21.1 Gross carrying amounts

	Balance as at 01.04.2017 Rs.	Additions Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2018 Rs.
Freehold assets				
Cost				
Plant	25,930,613	-	-	25,930,613
Building	20,160,000	-	(20,160,000)	-
Motor vehicle	53,232,558	33,615,572	(12,096,469)	74,751,661
Office equipment	89,137,945	12,984,911	(108,900)	102,013,956
Computers	29,109,979	4,698,161	(78,000)	33,730,140
Furniture and fittings	19,300,418	546,492	-	19,846,910
	<u>236,871,513</u>	<u>51,845,136</u>	<u>(32,443,369)</u>	<u>256,273,280</u>

21.2 Accumulated depreciation

	Balance as at 01.04.2017 Rs.	Charge for the year Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2018 Rs.
Plant	4,321,769	3,241,327	-	7,563,096
Building	3,990,000	1,680,000	(5,670,000)	-
Motor vehicle	22,620,728	14,073,070	(5,107,744)	31,586,054
Office equipment	26,063,290	15,551,488	(75,938)	41,538,840
Computers	8,805,115	4,855,471	(13,161)	13,647,425
Furniture and fittings	9,139,509	2,760,573	-	11,900,082
	<u>74,940,411</u>	<u>42,161,929</u>	<u>(10,866,843)</u>	<u>106,235,497</u>

	31.03.2018 Rs.	31.03.2017 Rs.
Net Book value		
Plant	18,367,517	21,608,844
Building	-	16,170,000
Motor vehicle	43,165,607	30,611,830
Office equipment	60,475,116	63,074,655
Computers	20,082,715	20,304,864
Furniture and fittings	7,946,828	10,160,909
	<u>150,037,783</u>	<u>161,931,102</u>

21.3 During the financial year, the company acquired property, plant and equipment to the aggregate value of Rs.51,845,136/- (2017 - Rs.55,426,269/-). Cash payments amounting to Rs.51,718,268/- (2017 - Rs.55,426,269/-) was paid during the year for the purchases of property, plant and equipment.

21.4 Property, plant and equipment include fully depreciated assets having a gross carrying amount of Rs.17,872,226/- (2017 - Rs.17,182,385/-).

21.5 Temporarily idle property, plant and equipment

There were no property, plant and equipment idling as at 31st March, 2018 and 31st March, 2017.

21.6 Title restriction on property, plant and equipment

There was no restriction on the title of property, plant and equipment as at 31st March, 2018 and 31st March, 2017.

21.7 Property, plant and equipment pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities as at 31st March, 2018 and 31st March, 2017.



	31.03.2018 Rs.	31.03.2017 Rs.
22. INVESTMENT PROPERTY		
Balance at the beginning of the year	306,253,164	143,706,564
Acquisitions during the year	63,652,592	173,282,051
Expenses capitalized during the year	-	195,000
Disposals during the year	(17,520,226)	(10,930,451)
Balance at the end of the year	<u>352,385,530</u>	<u>306,253,164</u>

Fair value of the investment property for the purpose of disclosure in note 22.2 was ascertained by valuations carried out by independent valuers as required by LKAS 40.

22.1 The amounts recognized to profit or loss on investment property is as follows :

Direct expenses (including security charges and other utility charges)	1,118,874	616,738
	<u>1,118,874</u>	<u>616,738</u>

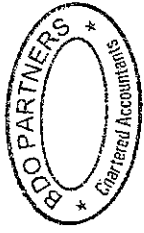


ASIA ASSET FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

22. INVESTMENT PROPERTY (CONTD...)

22.2 Fair value of the investment property

Location of the land	Valuer's name and report date	Total extent	31.03.2018		31.03.2017	
			Fair value	Cost	Fair value	Cost
			Rs.	Rs.	Rs.	Rs.
Lot 05, Dangahahena Land, Anamaduwa Road, Andigama.	D. Jayawardene (Incorporated Valuer) - valuation report dated 29th March, 2014.	39.04 P (0.09965 Ha)	9,650,000	1,250,000	9,650,000	1,250,000
Delgahawaththa Land, Walpitamulla, Dewalapola, Naiwata, Gampaha.	D. Jayawardene (Incorporated Valuer) - valuation report dated 28th March, 2014.	24.20 P (0.0612 Ha)	-	-	1,750,000	695,000
No 25/20, Kalyani Mawatha, Mabola, Wattala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 04th May, 2018.	26.93P	14,100,000	12,453,317	17,800,000	15,453,317
Lot no. 21 at Thumbowila West, Pitiyandala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 28th March, 2014.	10.04 P (0.0254 Ha)	-	-	3,000,000	1,800,000
Lot no. 01 at Andiambalama, Kimbulapitiya.	D. Jayawardene (Incorporated Valuer) - valuation report dated 29th March, 2014.	14.00 P	5,600,000	3,500,000	5,600,000	3,500,000
Plan no. 377, Navindankandu, Kaddaikadu Thoppukadu.	V. Selvanayagam AIV (Incorporated Valuer) - valuation report dated 16th May, 2014.	10 Lms	-	-	4,000,000	3,160,226
Gonapola Land (No358, Horana-Colombo Road, Kumbuka Gonapola).	D. Jayawardene (Incorporated Valuer) - valuation report dated 30th March, 2015.	02R-01.10 P (0.2051 Ha)	20,250,000	19,500,000	20,250,000	19,500,000
Manipay Land (No 55 Nachchimar Kovil Road, Manipay).	V. Selvanayagam AIV (Incorporated Valuer) - valuation report dated 08th August, 2014.	10.50 Lms	10,000,000	9,000,000	10,000,000	9,000,000
No:21, 14th Lane, I.Jothipala Mawatha, Malabe.	D. Jayawardene (Incorporated Valuer) - valuation report dated 20th Feb 2016.	10.00 P (0.0253 Ha)	14,500,000	12,865,866	14,500,000	12,865,866
Lot 1-46 Plan no:3393 at Tembiligaha, Pallegama, Gampola.	D. Jayawardene (Incorporated Valuer) - valuation report dated 10th October, 2015.	02A-02R-15 P	17,700,000	14,964,221	17,700,000	14,964,221
Lot no:1 in Plan no:5644 at Lenadora, Dambulla.	D. Jayawardene (Incorporated Valuer) - valuation report dated 12th October, 2015.	01A-02R-02.60 P (0.6122 Ha)	33,000,000	16,644,799	33,000,000	16,644,799
Oslo Furnitures Industries (Pvt) Ltd, Welagane, Maspotha, Kurunegala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 05th October, 2015.	01R-35.00 P (0.1897 Ha)	59,000,000	46,137,684	59,000,000	34,137,684
Lot nos A,B,C,D,E & F in Plan no 4361 at Aramanagolla, Horana.	D. Jayawardene (Incorporated Valuer) - valuation report dated 03rd March, 2016.	02R-15.70 P (0.2420 Ha)	14,800,000	12,180,317	14,800,000	12,180,317

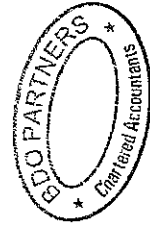


ASIA ASSET FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

22. INVESTMENT PROPERTY (CONTD..)

22.2 Fair value of the investment property (contd....)

Location of the land	Valuer's name and report date	Total extent	31.03.2018		31.03.2017	
			Fair value Rs.	Cost Rs.	Fair value Rs.	Cost Rs.
Sandiyakalikuda & Mundalamakadu of Puttalam Rd, Mundalama.	D. Jayawardene (Incorporated Valuer) - valuation report dated 20th April, 2017.	05A-03R-30 P	68,000,000	35,000,000	33,500,000	32,000,000
Karukottiheevu, Thamputtai 02, Akkaraipattu.	D. Jayawardene (Incorporated Valuer) - valuation report dated 23rd March, 2016.	10A-01R-05P (4.1602 Ha)	107,000,000	95,236,734	107,000,000	95,236,734
Galapitamillahena, Polarambegama, Kegalle.	D. Jayawardene (Incorporated Valuer) - valuation report dated 18th September, 2016.	6A-01R-00P (2.52928 Ha)	25,000,000	25,000,000	25,000,000	25,000,000
No.20, Church Road, Balangoda	D. Jayawardene (Incorporated Valuer) - valuation report dated 17th February, 2015.	15.90P	-	-	7,355,760	8,865,000
No;95,Mallattawela,Wellawaya	D. Jayawardene (Incorporated Valuer) - valuation report dated 20th July,2015.	11.80 P (0.04346 Ha)	9,000,000	4,200,000	-	-
Lot No;153B in Plan no;4813/99 at Udangawa, Ambanpola.	D. Jayawardene (Incorporated Valuer) - valuation report dated 09th March,2018.	10.00P. (0.325 Ha)	13,000,000	11,584,871	-	-
Lot No;1 in Plan no;1520 & Lot no;1 in Plan no;1522, "EVERTON ESTATE", Pothupitiya Road, Rakwana	D. Jayawardene (Incorporated Valuer) - valuation report dated 29th June 2015.	73A-03R- 17.50P	60,000,000	26,888,721	-	-
No;723/53, "Lake Terrace" Jayasinghe Mawatha, Korathota Road, Athurugiriya.	D. Jayawardene (Incorporated Valuer) - valuation report dated 27th March, 2018.	23.52 P	7,150,000	5,979,000	-	-
			487,750,000	352,385,530	383,905,760	306,253,164



23. INTANGIBLE ASSETS

23.1 Gross carrying amounts

	Balance as at 01.04.2017 Rs.	Additions Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2018 Rs.
Cost				
Intangible asset	23,464,030	627,851	-	24,091,881
	<u>23,464,030</u>	<u>627,851</u>	<u>-</u>	<u>24,091,881</u>

23.2 Amortization

	Balance as at 01.04.2017 Rs.	Charge for the year Rs.	Disposals/ transfers Rs.	Balance as at 31.03.2018 Rs.
Intangible asset	12,284,997	2,999,453	-	15,284,450
	<u>12,284,997</u>	<u>2,999,453</u>	<u>-</u>	<u>15,284,450</u>

	31.03.2018 Rs.	31.03.2017 Rs.
Net book value		
Intangible asset	8,807,431	11,179,033
	<u>8,807,431</u>	<u>11,179,033</u>

24. DUE TO BANKS

Due to banks- bank overdrafts	454,920,306	36,031,902
	<u>454,920,306</u>	<u>36,031,902</u>

25. OTHER LIABILITIES

Accrued expenses and other payables	36,650,813	46,791,280
	<u>36,650,813</u>	<u>46,791,280</u>

26. CURRENT TAX LIABILITIES

Balance at the beginning of the year	30,749,073	28,044,517
Income tax expense for the year	32,734,076	56,155,780
Under provision of previous year	6,787,842	60,276
	<u>70,270,991</u>	<u>84,260,573</u>
Income tax paid		
Less: Tax credits	(42,122,470)	(35,776,407)
WHT and notional tax	(13,323,227)	(8,256,823)
ESC paid	(15,188,221)	(9,478,270)
Balance at the end of the year	<u>(362,927)</u>	<u>30,749,073</u>





27. OTHER BORROWED FUNDS

Securitized borrowings
Bank loans

31.03.2018 Rs.	31.03.2017 Rs.
1,905,423,849	1,602,911,979
1,095,654,943	873,606,244
<u>3,001,078,792</u>	<u>2,476,518,223</u>

27.1 Securitized borrowings

27.1.1 Securitized borrowings

	As at 01.04.2017 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.	As at 31.03.2018 Rs.
Securitization Loan 01	51,019,878	-	1,287,814	(52,307,692)	-
Securitization Loan 02	-	-	-	-	-
Securitization Loan 03	237,546,070	-	15,281,206	(204,000,000)	48,827,276
Securitization Loan 04	99,455,602	-	4,294,219	(103,749,821)	-
Securitization Loan 05	111,484,310	-	2,177,254	(113,661,564)	-
Securitization Loan 06	337,096,791	-	16,749,363	(353,846,154)	-
Securitization Loan 07	200,897,686	-	20,242,562	(103,182,961)	117,957,287
Securitization Loan 08	225,728,018	-	13,264,487	(216,719,944)	22,272,561
Securitization Loan 09	268,034,189	-	11,965,811	(280,000,000)	-
Securitization Loan 10	71,649,435	-	9,889,027	(81,538,462)	-
Securitization Loan 11	-	423,392,487	59,048,085	(115,384,616)	367,055,956
Securitization Loan 12	-	500,000,000	55,311,510	(202,563,253)	352,748,257
Securitization Loan 13	-	250,322,321	27,447,564	-	277,769,885
Securitization Loan 14	-	300,000,000	28,328,665	(15,308,097)	313,020,568
Securitization Loan 15	-	200,000,000	13,446,959	(63,603,836)	149,843,123
Securitization Loan 16	-	254,225,051	1,703,885	-	255,928,936
	<u>1,602,911,979</u>	<u>1,927,939,859</u>	<u>280,438,411</u>	<u>(1,905,866,400)</u>	<u>1,905,423,849</u>

27.1.2 Bank loans

	As at 01.04.2017 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.	As at 31.03.2018 Rs.
Sampath Bank loan 01	141,760,001	-	16,670,607	(66,590,608)	91,840,000
DFCC Vardhana Bank 01	150,000,000	-	18,411,095	(68,411,103)	99,999,992
DFCC Vardhana Bank 02	200,062,184	-	27,165,899	(64,728,086)	162,499,997
Central Finance Loan 01	85,776,784	-	10,025,839	(58,755,743)	37,046,880
Sampath Bank Loan 02	100,127,068	150,000,000	1,566,274	(101,533,342)	150,160,000
HNB Bank Loan 01	195,880,207	-	25,065,279	(83,677,138)	137,268,348
Nation Trust Bank Loan 01	-	200,000,000	13,987,732	(47,437,732)	166,550,000
DFCC Vardana Bank 03	-	250,000,000	289,726	-	250,289,726
Commercial Leasing & Finance PLC	-	100,000,000	136,276	(100,136,276)	-
	<u>873,606,244</u>	<u>700,000,000</u>	<u>113,318,727</u>	<u>(591,270,028)</u>	<u>1,095,654,943</u>

27.2 Loan details

Bank	Approved facility	Purpose	Term of the loan	Security	Security amount Rs.
BOC - Securitization loan 01	Rs.400 Mn	Working capital requirements	37 monthly instalments	Lease and hire purchase receivable	Nil
BOC - Securitization loan 03	Rs.500 Mn	Working capital requirements	36 monthly instalments	Vehicle mortgage and group personal loan receivable	Rs.65 Mn
BOC - Securitization loan 04	Rs.200 Mn	Working capital requirements	30 monthly instalments	Lease and hire purchase receivable	Nil
BOC - Securitization loan 05	Rs.211 Mn	Working capital requirements	18 monthly instalments	Lease and Hire purchase and vehicle mortgage receivable	Nil
BOC - Securitization loan 06	Rs.447.2 Mn	Working capital requirements	22 monthly instalments	Micro finance loan and group personal loan receivable	Nil

27. OTHER BORROWED FUNDS (CONTD...)

27.2 Loan details (contd...)

Bank	Approved facility	Purpose	Term of the loan	Security	Security amount Rs.
BOC - Securitization loan 07	Rs.200 Mn	Working capital requirements	36 monthly instalments	Lease and hire purchase receivables	Rs.124.4 Mn
First Capital Trustee Services- Securitization loan 08	Rs.275 Mn	Working capital requirements	24 monthly instalments	Lease and group personal loan receivable	Rs.29.6 Mn
BOC - Securitization loan 09	Rs.249 Mn	Working capital requirements	14 monthly instalments	Micro finance receivables	Nil
BOC - Securitization loan 10	Rs.70 Mn	Working capital requirements	14 monthly instalments	Pledged loans receivable	Rs.53 Mn
HNB - Securitization loan 11	Rs.423 Mn	Working capital requirements	15 monthly instalments	Micro receivable backed Loan Structure	Rs.490 Mn
HNB - Securitization loan 12	Rs.500 Mn	Working capital requirements	24 monthly instalments	Micro finance loan and group personal loan receivable	Rs. 502.8 Mn
HNB - Securitization loan 13	Rs.250 Mn	Working capital requirements	15 monthly instalments	Loans and receivables	Rs. 380 Mn
People's Bank - Securitization loan 14	Rs.300 Mn	Working capital requirements	24 monthly instalments	Micro finance receivables	Rs. 437.5 Mn
First Capital Trustee Services - Securitization loan 15	Rs.200 Mn	Working capital requirements	24 monthly instalments	Group personal loan receivable	Rs. 220 Mn
People's Bank - Securitization loan 16	Rs.254 Mn	Working capital requirements	20 monthly instalments	Lease and hire purchase loan receivable	Rs. 330.5 Mn
Sampath Bank PLC 01	Rs.200 Mn	Working capital requirements	48 monthly instalments	Loan agreement for Rs.200 Mn.	N/A
DFCC Vardhana Bank 01	Rs.200 Mn	Working capital requirements	48 monthly instalments	Promissory note	Rs.200 Mn
DFCC Vardhana Bank 02	Rs.200 Mn	Working capital requirements	48 monthly instalments	Promissory note	Rs.200 Mn
Central Finance loan 01	Rs.100 Mn	Working capital requirements	24 monthly instalments	Lease receivables and promissory note	Lease - Rs. 130 Mn and Promissory note - Rs. 100 Mn
Sampath Bank PLC 02	Rs.150 Mn	Working capital requirements	3 monthly instalments	Loan agreement for Rs.200 Mn.	N/A
Hatton National Bank PLC 01	Rs.200 Mn	Working capital requirements	36 monthly instalments	Mortgage bond over loan recoverable consisting of business loan, corporate loan and mortgage loans	Rs.200 Mn
DFCC Vardhana Bank 03	Rs.250 Mn	Working capital requirements	48 monthly instalments	Promissory note	Rs.250 Mn
Nations Trust Bank 01	Rs.200 Mn	Working capital requirements	36 monthly instalments	Mortgage bond over corporate loans & micro finance loan portfolio	Rs.200 Mn



	31.03.2018 Rs.	31.03.2017 Rs.
28. DUE TO CUSTOMERS		
Fixed deposits	6,356,067,246	5,681,178,140
	<u>6,356,067,246</u>	<u>5,681,178,140</u>
29. RETIREMENT BENEFIT OBLIGATION		
Retirement benefit obligations - gratuity		
Balance at the beginning of the year	18,774,955	12,355,588
Amount charged for the year	2,200,038	7,006,867
Payments made during the year	(930,000)	(587,500)
Balance at the end of the year	<u>20,044,993</u>	<u>18,774,955</u>
29.1 Amount recognized in the statement of profit or loss		
Current service cost for the year	3,314,191	3,311,720
Interest cost for the year	2,440,744	1,594,851
	<u>5,754,935</u>	<u>4,906,571</u>
29.2 Amount recognised in other comprehensive income		
Actuarial (gain)/loss for the year	(3,554,897)	2,100,296
	<u>(3,554,897)</u>	<u>2,100,296</u>
29.3 Messrs. Actuarial and Management Consultants (Pvt) Ltd, Actuaries, carried out an actuarial valuation of the retirement benefit obligation for Asia Asset Finance PLC as at 31st March, 2018. The valuation method used by the Actuary to value the liability is the 'Projected Unit Credit Actuarial Cost Method' recommended by LKAS 19. Appropriate and compatible assumptions were used in determining the cost of retirement benefits. The principal assumptions used are as follows:		
	31.03.2018 Rs.	31.03.2017 Rs.
Actuarial assumptions		
Discount rate	10%	13%
Salary increment rate	6%	12%
Staff turnover	19%	15%
Retirement age	55 years	55 years
Mortality	67/70 Mortality Table (Institute of Actuaries, London)	
29.4 Sensitivity analysis		
In order to illustrate the significance of the salary increment rates and discount rates assumed in the valuation, the sensitivity analysis is as follows:		
	31.03.2018 Rs.	31.03.2017 Rs.
Discount rate		
Effect on retirement benefit obligation due to 1% increase	19,357,822	17,933,521
Effect on retirement benefit obligation due to 1% decrease	20,788,828	19,703,155
Salary increment rate		
Effect on retirement benefit obligation due to 1% increase	20,768,778	19,666,032
Effect on retirement benefit obligation due to 1% decrease	19,365,625	17,953,078



30. STATED CAPITAL

	31.03.2018		31.03.2017	
	Number	Rs.	Number	Rs.
30.1 Fully paid ordinary shares	839,207,833	1,388,935,273	839,207,833	1,388,935,273
30.1.1 Balance at the beginning of the year	839,207,833	1,388,935,273	839,207,833	1,388,935,273
Balance at the end of the year	839,207,833	1,388,935,273	839,207,833	1,388,935,273

30.2 Rights of shareholders

The holders of ordinary shares confer their rights to receive dividends as declared from time to time and are entitled to one vote per share at the meeting.

All shares rank equally with regard to the company's residual assets.

	31.03.2018	31.03.2017
	Rs.	Rs.
31. STATUTORY RESERVE FUND AND OTHER RESERVES		
Statutory reserve fund	65,386,917	56,347,669
General reserve	3,000,000	3,000,000
	<u>68,386,917</u>	<u>59,347,669</u>

31.1 Statutory reserve fund

Statutory reserve fund is a capital reserve which contains profits transferred as required by Section 3 (b) (i) of Finance Companies (Capital Funds) Direction No. 1 of 2003.

31.2 General reserve

General Reserve represents the amounts set aside by the directors for general application.

32. EARNINGS PER SHARE

32.1 Basic earnings per share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the period.

32.2 The following reflects the income and share data used in the basic earnings per share computation.

	31.03.2018	31.03.2017
	Rs.	Rs.
Amounts used as the numerator:		
Net profit attributable to ordinary shareholders for basic earnings per share	<u>178,225,427</u>	<u>278,048,809</u>
Number of ordinary shares used as denominator for basic earnings per share	31.03.2018 Number	31.03.2017 Number
Weighted average number of ordinary shares in issue	839,207,833	839,207,833
Basic earnings per share	<u>0.21</u>	<u>0.33</u>



33. CONTINGENT LIABILITIES AND COMMITMENTS

In the normal course of business, the company makes various commitments and incurs contingent liabilities. No material losses are anticipated as a result of these transactions.

33.1 Commitments			31.03.2018	31.03.2017
			Rs.	Rs.
Promissory note to DFCC Bank PLC Loans	33.1.1		650,000,000	400,000,000
Promissory note to Central Finance Loan	33.1.1		100,000,000	100,000,000
Undrawn commitments	33.1.2		5,382,409	5,455,500
Letter of credit commitments	33.1.3		40,000,000	-
			<u>795,382,409</u>	<u>505,455,500</u>

33.1.1 Promissory notes

The related loan balances on issued promissory notes are as follows as at the reporting date.

	Promissory note Value Rs	Loan outstanding as at 31.03.2018 Rs.
Promissory notes to DFCC Bank PLC	650,000,000	512,789,715
Promissory notes to Central Finance	100,000,000	37,046,880
	<u>750,000,000</u>	<u>549,836,595</u>

33.1.2 Undrawn commitments

Undrawn commitments consist of facilities granted to customers where the company reserves the right to unconditionally cancel or recall the facility at its discretion.

33.1.3 Letter of credit commitments

Undrawn letter of credit commitments consist of the import cost of 10 nos of Vehicle units amounting LKR 19,710,000/-.

33.2 Contingent liabilities

The company does not have significant contingent liabilities as at the reporting date.

34. ASSETS PLEDGED

The following assets have been pledged as securities for liabilities.

Nature of assets	Nature of liabilities	Carrying amount pledged		Included under
		31.03.2018 Rs.	31.03.2017 Rs.	
Lease and hire purchase receivables	BOC - securitization loan 01	-	51,019,878	Lease rentals receivables and hire purchase
Vehicle mortgaged loans and group personnel loans	BOC - securitization loan 03	48,827,276	237,546,070	Loans and advances
Lease and hire purchase receivable	BOC - securitization loan 04	-	99,455,602	Lease rentals receivables and hire purchase
Lease and Hire purchase and vehicle mortgage receivables	BOC - securitization loan 05	-	111,484,310	Lease rentals receivables and hire purchase, loans and advances



34. ASSETS PLEDGED (CONTD....)

Nature of assets	Nature of liabilities	Carrying amount pledged		Included under
		31.03.2018 Rs.	31.03.2017 Rs.	
Micro finance loan and group personal loan receivable	BOC - securitization loan 06	-	337,096,791	Loans and advances
Lease and hire purchase receivable	BOC - securitization loan 07	117,957,287	200,897,686	Lease rentals receivables and hire purchase
Lease and group personal loan receivable	First Capital Trustee Services - securitization loan 08	22,272,561	225,728,018	Lease rentals receivable, Loans and advances
Micro finance receivable	BOC - securitization loan 09	-	268,034,189	Loans and advances
Pledge loans receivables	BOC - securitization loan 10	-	71,649,435	Loans and advances
Micro receivable backed Loan Structure	HNB - securitization loan 11	367,055,956	-	Loans and advances
Micro finance loan and group personal loan receivable	HNB - securitization loan 12	352,748,257	-	Loans and advances
Loans and recivables	HNB - securitization loan 13	277,769,885	-	Loans and advances
Micro finance receivables	People's Bank - securitization loan 14	313,020,568	-	Loans and advances
Group personal loan receivables	First Capital Trustee Services - Securitization loan 15	149,843,123	-	Loans and advances
Lease and hire purchase loan receivables	People's Bank - Securitization loan 16	255,928,936	-	Lease rentals receivables and hire purchase
Mortgage bond over loan recoverable consisting of business loan, corporate loan and mortgage loans	Hatton National Bank PLC 01	137,268,348	-	Loans and advances
Mortgage bond over corporate loans & micro finance loan portfolio	Nations Trust Bank 01	166,550,000	-	Loans and advances





35. MATURITY ANALYSIS

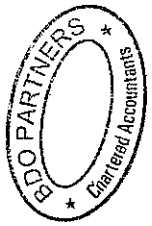
An analysis of the total assets employed and the total liabilities at the year end, based on the remaining balance at the reporting date to the respective contractual maturity dates is given below:

	Less than 3 months Rs.	3-12 months Rs.	1-3 years Rs.	Over 3 years Rs.	Total Rs.
Cash and cash equivalents	660,159,119	-	-	-	660,159,119
Investment in reverse repurchase agreements against the treasury bills and bonds	622,975,267	-	-	-	622,975,267
Other financial assets	207,244,747	-	-	-	207,244,747
Financial assets - held for trading	213,734	-	-	-	213,734
Loans and advances	2,987,937,373	1,977,724,795	1,541,133,622	741,103,578	7,247,899,368
Lease rentals receivable and hire purchase	362,001,865	701,047,995	1,027,312,441	190,126,920	2,280,489,222
Vehicle Stock	-	262,088	-	-	262,088
Other assets	15,587,389	-	-	-	15,587,389
Income Tax Receivable	-	362,927	-	-	362,927
Deposits and prepayments	5,979,792	33,722,009	20,731,398	7,515,244	67,948,443
Financial assets - available for sale	-	-	-	506,659	506,659
Property, plant and equipment	-	-	-	150,037,783	150,037,783
Investment property	-	-	-	352,385,530	352,385,530
Deferred tax asset	-	-	112,814,714	-	112,814,714
Intangible assets	-	-	-	8,807,431	8,807,431
As at 31.03.2018	4,862,099,287	2,713,119,814	2,701,992,175	1,450,483,145	11,727,694,421
As at 31.03.2017	3,710,651,821	3,118,921,293	2,393,076,417	804,285,908	10,026,935,439
Liabilities					
Due to banks	454,920,306	-	-	-	454,920,306
Other liabilities	36,650,813	-	-	-	36,650,813
Other borrowed funds	829,908,775	1,478,828,229	624,633,455	67,708,333	3,001,078,792
Due to customers	1,333,227,256	3,128,643,459	1,420,836,166	473,360,365	6,356,067,246
Retirement benefit obligation	-	-	-	20,044,993	20,044,993
As at 31.03.2018	2,654,707,150	4,607,471,688	2,045,469,621	561,113,691	9,868,762,150
As at 31.03.2017	2,383,729,310	3,909,303,730	1,641,608,471	355,402,060	8,290,043,573
Net amount					
As at 31.03.2018	2,207,392,137	(1,894,351,874)	656,522,554	889,369,454	1,858,932,271
As at 31.03.2017	1,326,922,511	(790,382,437)	751,467,946	448,883,848	1,736,891,866

ASIA ASSET FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

36. CURRENT/NON-CURRENT ANALYSIS

	31.03.2018			31.03.2017		
	Within 12 months Rs.	After 12 months Rs.	Total Rs.	Within 12 months Rs.	After 12 months Rs.	Total Rs.
Cash and cash equivalents	660,159,119	-	660,159,119	601,891,827	-	601,891,827
Investment in reverse repurchase agreements against treasury bills and bonds	622,975,267	-	622,975,267	433,333,648	-	433,333,648
Other financial assets	207,244,747	-	207,244,747	-	-	-
Financial assets - held for trading	213,734	-	213,734	50,204,691	-	50,204,691
Loans and advances	4,965,662,168	2,282,237,200	7,247,899,368	4,948,350,022	1,890,016,378	6,838,366,400
Lease rentals receivable and hire purchase	1,063,049,861	1,217,439,361	2,280,489,222	743,134,293	681,545,529	1,424,679,822
Vehicle stock	262,088	-	262,088	-	-	-
Other assets	15,587,389	-	15,587,389	15,626,098	-	15,626,098
Income Tax Receivable	362,927	-	362,927	-	-	-
Advances, deposits and prepayments	39,701,801	28,246,642	67,948,443	37,032,535	27,727,751	64,760,286
Financial assets - available for sale	-	506,659	506,659	-	506,659	506,659
Property, plant and equipment	-	150,037,783	150,037,783	-	161,931,102	161,931,102
Investment property	-	352,385,530	352,385,530	-	306,253,164	306,253,164
Deferred tax asset	-	112,814,714	112,814,714	-	118,202,709	118,202,709
Intangible assets	-	8,807,431	8,807,431	-	11,179,033	11,179,033
Total assets	7,575,219,101	4,152,475,320	11,727,694,421	6,829,573,114	3,197,362,325	10,026,935,439
Liabilities						
Due to banks	454,920,306	-	454,920,306	36,031,902	-	36,031,902
Other liabilities	36,650,813	-	36,650,813	46,791,280	-	46,791,280
Current tax liabilities				30,749,073	-	30,749,073
Other borrowed funds	2,308,737,004	692,341,788	3,001,078,792	1,741,496,804	735,021,419	2,476,518,223
Due to customers	4,461,870,715	1,894,196,531	6,356,067,246	4,437,963,983	1,243,214,157	5,681,178,140
Retirement benefit obligation	-	20,044,993	20,044,993	-	18,774,955	18,774,955
Total liabilities	7,262,178,838	2,606,583,312	9,868,762,150	6,293,033,042	1,997,010,531	8,290,043,573
Net balance	313,040,263	1,545,892,008	1,858,932,271	536,540,072	1,200,351,794	1,736,891,866



37. ASSETS AND LIABILITIES MEASURED AT FAIR VALUE AND FAIR VALUE HIERARCHY

37.1 Determination of fair value and fair value hierarchy

As at 31st March, 2018, the company held the following assets carried at fair value on the statement of financial position. The company uses the following hierarchy for determining and disclosing the fair value of those assets by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

37.1.1 Assets measured at fair value

31.03.2018				
	Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
Financial assets - held for trading	213,734	213,734	-	-
Financial assets - available for sale	506,659	-	-	506,659
Total assets at fair value	720,393	213,734	-	506,659

31.03.2017				
	Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
Financial assets - held for trading	50,204,691	50,204,691	-	-
Financial assets - available for sale	506,659	-	-	506,659
Total assets at fair value	50,711,350	50,204,691	-	506,659



ASIA ASSET FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

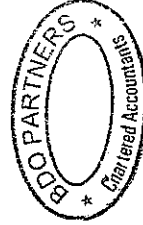
38. FINANCIAL REPORTING BY SEGMENT

	Finance lease		Hire purchase		Loans and advances		Investment		Other		Total	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017	31.03.2018	31.03.2017	31.03.2018	31.03.2017	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest income	407,178,686	293,976,605	10,472,832	39,716,631	1,892,389,422	1,598,088,546	133,348,460	88,775,175	-	-	2,443,389,400	2,020,556,957
Other income	18,428,964	6,579,036	276,383	923,674	100,718,525	92,186,594	372,530	3,204,360	9,229,769	7,156,955	128,976,171	110,050,619
Total revenue	425,607,650	300,555,641	10,749,215	40,640,305	1,993,107,947	1,690,275,140	133,670,990	91,979,535	9,229,769	7,156,955	2,572,365,571	2,130,607,576
Segmental result	47,303,419	52,718,767	1,194,703	7,128,486	221,520,500	296,481,614	14,856,629	16,133,611	1,025,826	1,255,361	285,901,076	373,717,839
Value added tax on financial services											63,761,107	57,841,421
Profits from operations	2,221,631,846	1,263,638,484	58,857,376	161,041,338	7,247,899,368	6,838,366,400	830,433,748	483,538,339	-	-	222,139,969	315,876,418
Income tax charge for the year											(43,914,542)	(37,827,609)
Net profit for the year											178,225,427	278,048,809
Segment assets	2,221,631,846	1,263,638,484	58,857,376	161,041,338	7,247,899,368	6,838,366,400	830,433,748	483,538,339	1,368,872,083	1,280,350,878	10,358,822,338	8,746,584,561
Unallocated assets											1,368,872,083	1,280,350,878
Total assets											11,727,694,421	10,026,935,439
Segment liabilities	2,104,370,396	1,183,766,108	55,750,785	150,862,198	6,865,343,099	6,406,125,233	786,602,064	452,974,727	-	-	9,812,066,344	8,193,728,266
Unallocated liabilities									56,695,806	96,315,308	56,695,806	96,315,308
Total liabilities									56,695,806	96,315,308	9,868,762,150	8,290,043,574

In determining segment results, expenses have been allocated on proportionate basis on interest income and the segment liabilities have been proportionately allocated based on the segment assets.

39. EVENTS OCCURRING AFTER THE REPORTING DATE

There have been no material events occurring after the reporting date that require adjustments to, or disclosures, in the financial statements.



40. RELATED PARTY DISCLOSURES

The company carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with related parties. Details of significant related party disclosures are as follows:

40.1 Parent and ultimate controlling party

The ultimate parent of the company as at 31st March, 2018 is Muthoot Finance Limited.

40.2 Transactions with related entities

40.2.1 Muthoot Finance Limited

Relationship - Ultimate parent

	31.03.2018 Rs.	31.03.2017 Rs.
Transactions during the year		
Expenses incurred for Muthoot Finance Limited	604,952	1,384,645

40.3 Transactions with key management personnel of the company

The key managerial personnel of the company are the members of its board of directors and the parent company. Following transactions were entered between the company and its key management personnel and their close family members.

	31.03.2018 Rs.	31.03.2017 Rs.
40.3.1 Key management personnel compensation		
Short-term employment benefits paid	23,521,756	25,146,351
40.3.2 Other transactions with key management personnel		
Fixed deposits held	83,523,013	9,210,000
Uplift of fixed deposits	3,000,000	50,000
Interest expenses	7,383,926	1,179,256
40.3.3 Share transactions with key management personnel		
Number of ordinary shares held at the year end	1,400,000	24,055,845

41. RISK MANAGEMENT

The management of the company considers the risk management as an important factor behind the recent success of the company. The company has developed a culture within the organization, which shapes and influences and the risk decisions taken by the management and the employees. The adequacy and the effectiveness of the risk management decisions taken by the company's management will be reviewed regularly through its committees and reported to the "Integrated risk management committee" for reference and guidance. We believe successful risk management will enable the company to be resilient to any unfavourable event caused by internal or external factors.

41.1 Risk management committees

41.1.1 Assets and liability committee (ALCO)

ALCO is chaired by the chief executive officer and its representatives are, the chief operating officer, general manager, the assistant general manager-finance, the senior manager-treasury and the assistant manager - analyst. The committee meeting is held once a month to monitor and manage the assets and liabilities of the company and also overall liquidity position to keep the company's liquidity at healthy levels whilst satisfying regulatory requirements.



41. RISK MANAGEMENT (CONTD....)

41.1 Risk management committees (contd....)

41.1.2 Integrated risk management committee (IRM)

The IRM committee, which has the responsibility to monitor the overall risk process within the company. The IRM committee has the overall responsibility for the development of the risk strategy and implementing principles, frameworks, policies and limits. The IRM committee is responsible for managing risk decisions and monitoring risk levels and reports on periodical basis to the board.

41.2 Credit risk

Credit risk is the likelihood that a borrower or counterparty will not honor its obligations in accordance with the terms of agreement. i.e the risk of default which is one of the most vulnerable risks faced by any financial institution. Credit risk is inherent to all financial institutions where the main business is lending. The main aim of the "credit risk management" is to minimize the risk and to maximize the risk adjusted rate of return of the financial institution.

41.2.1 Impairment assessment

For accounting purposes, the company uses a collective and individual model for the recognition of losses on impaired financial assets.

Individually assessed allowances

The company determines the allowances appropriate for each individually significant leases, hire purchase and loan on an individual basis, including any overdue payments of interests or credit rating downgrades. Items considered when determining allowance amounts include the sustainability of the counterparty's business plan, its ability to improve performance if it is in a financial difficulty projected receipts and the availability of other financial support, the realisable value of collateral and the timing of the expected cash flows. Impairment allowances are evaluated at each reporting date.

Collectively assessed allowances

Allowances are assessed collectively for losses on leases, hire purchase and loans and for held to maturity debt investments that are not individually significant and for individually significant loans and advances that have been assessed individually and found not to be impaired.

The company generally bases its analyses on historical experience. However, when there are significant market developments, regional and/or global, the company would include macroeconomic factors within its assessments. These factors include, depending on the characteristics of the individual or collective assessment: unemployment rates, current levels of bad debts, changes in laws, changes in regulations, bankruptcy trends and other consumer data. The company may use the aforementioned factors as appropriate to adjust the impairment allowances.

Allowances are evaluated separately at each reporting date with each portfolio.

The collective assessment is made for groups of assets with similar risk characteristics, in order to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident in the individual loans assessments. The collective assessment takes account of data from the loan portfolio (such as historical losses on the portfolio, levels of arrears, loan to collateral ratios) or economic data (such as current economic conditions, unemployment levels and local or industry-specific problems). The approximate delay between the time, a loss is likely to have been incurred and the time it will be identified as requiring an individually assessed impairment allowance is also taken into consideration. Management is responsible for deciding the length of this period, which can extend for as long as one year. The impairment allowance is then reviewed by management to ensure alignment with the company's overall policy.

41.2.2 Company's approach to credit risk

The company caters to mainly the small and medium corporate sector and to the retail sector. Therefore, the company has adopted a process where the credit evaluation is not restricted to its finances but also on qualitative factors, giving the company an opportunity to evaluate customer's operations, product feasibility, management structure etc.

In order to mitigate the risk of exposing into high risk sectors, the company has imposed sector restrictions and exposure ceilings. Effective management of portfolio ensures that the company avoids the risk of concentration of exposures. Further, the company is continuously conducting environment analysis and periodic reviews to monitor credit exposures, portfolio performance and to identify emerging credit risks.



41. RISK MANAGEMENT (Contd..)

41.2.2 Company's approach to credit risk (contd....)

The recoveries department consistently monitors portfolio delinquency and the collections. A monthly report is submitted to the chief executive officer on the performance of individual marketer.

The credit policy of the company recommends an innovative approach in evaluating a borrower without hindering the credit quality. The company has introduced exposure ceilings, delegated authority levels for credit approval, internal risk rating model and risk based pricing through the credit policy.

41.2.3 Credit quality by class of financial assets

	Neither past due nor impaired Rs.	Past due and not impaired Rs.	Individually impaired Rs.	31.03.2018 Total Rs.
Cash and cash equivalents	660,159,119	-	-	660,159,119
Investment in reverse repurchase agreements against treasury bills and bonds	622,975,267	-	-	622,975,267
Financial assets - held for trading	213,734	-	-	213,734
	<u>1,283,348,120</u>	<u>-</u>	<u>-</u>	<u>1,283,348,120</u>
Loans and advances				
Gross loans and advances	3,357,579,422	4,124,194,173	240,929,232	7,722,702,826
Less : Impairment charge	(19,948,349)	(315,699,028)	(139,156,081)	(474,803,458)
	<u>3,337,631,073</u>	<u>3,808,495,145</u>	<u>101,773,151</u>	<u>7,247,899,368</u>
Lease rentals receivable and hire purchase				
Gross lease rentals receivable and hire purchase	1,210,332,155	1,171,857,381	-	2,382,189,537
Less : Impairment charge	(11,964,901)	(89,735,414)	-	(101,700,315)
	<u>1,198,367,254</u>	<u>1,082,121,967</u>	<u>-</u>	<u>2,280,489,222</u>
Financial assets - available for sale				
Financial assets - available for sale	506,659	-	-	506,659
Less : Impairment charge	-	-	-	-
	<u>506,659</u>	<u>-</u>	<u>-</u>	<u>506,659</u>

Note : Neither past due nor impaired lease rental receivables, hire purchase and loans include any facility that is not in arrears as at the reporting date and assessed for impairment on a collective basis. Past due but not impaired lease rental receivable, hire purchase and loans include any facility that is in arrears for more than one day and assessed for impairment on a collective basis.

41.2.4 Concentration of credit risk

The company's concentration of risk in relation to the lending portfolio is managed by the industry sector which is detailed below:

	31.03.2018 Rs.	31.03.2017 Rs.
Textile and wearing apparel	28,371,187	24,843,447
Manufacturing	631,569,305	788,545,891
Metals, chemicals and engineering	4,027,810	27,947,962
Transport	160,175,659	176,980,583
Services	1,155,463,234	1,264,958,918
Agro-business and fisheries	220,570,233	253,019,642
Construction	226,573,322	218,443,879
Commercial trading	688,255,646	500,720,696
Others	6,989,885,967	5,404,533,241
Total lending portfolio	<u>10,104,892,363</u>	<u>8,659,994,259</u>
Loans and advances	7,722,702,826	7,117,016,659
Lease	2,290,742,742	1,313,046,034
Hire purchase	91,446,795	229,931,566
Total receivables	<u>10,104,892,363</u>	<u>8,659,994,259</u>



41. RISK MANAGEMENT (CONTD....)

41.3 Market risk

Market risk is identified by the company as a possibility of loss to the company caused by changes in the market variables. Market risk mainly includes interest rate risk, liquidity risk, foreign exchange risk and country risk.

41.3.1 Interest rate risk

Interest rate risk is the potential negative impact on the net interest income based on rate fluctuations and impact to the profitability of the company. The company does not have variable interest rates and all facilities granted are on fixed interest rates.

When all borrowings and lendings are done on fixed rates the net interest margin is affected due to the following reasons,

Maturity mismatch/GAP

One of the major concerns in financial business is the maturity mismatch, where the average loan period is over 2 years whilst the average deposit period is less than one year. Hence, where the interests are on an increasing trend, the company's net interest margin will reduce.

Please refer note 35 to the financial statements for the maturity analysis.

Re-Investment risk

These are uncertainties with regard to interest rate at which the future cash flows could be re-invested. On an increasing trend, this would be beneficial for Asia Asset Finance PLC.

Net interest position

When the market rates are on a downward trend and the company earning assets are higher than its liabilities, the risk of net interest position falling is high.

Liquidity risk

Liquidity is the ability to efficiently accommodate deposit as also reduction in liabilities and to fund the loan growth and possible funding of the off-balance sheet claims liquidity risk arises through maturity mismatch of loans and deposits.

Foreign exchange (FOREX) and country risk

FOREX is the risk that the finance companies may suffer loss as a result of adverse exchange rate movements. Country risk is the risk that arises due to cross border transactions. Asia Asset Finance PLC does not have any foreign borrowings or foreign transactions overseas except for Oracle financials licensing fee, which does not consist of a substantial impact on the company to conduct in-depth analysis. However, there is a slight impact when budgeting for this cost. The above risks are triggered by the treasury operations.

42. COMPARATIVE INFORMATION

Comparative information has been re-classified as stated below to conform to the current year's presentation.

42.1 Statement of profit or loss and other comprehensive income

Administration allowances paid to staff which were classified under personnel expenses have been re-classified under general and administration expenses.

	As reported previously in 2016/2017 Rs.	Re-classification of administration allowances Rs.	Current presentation 2016/2017 Rs.
Personnel expenses	335,295,267	(85,181,409)	250,113,858
General and administration expenses	270,042,164	85,181,409	355,223,573

